

Cement Sector Initiation of Coverage

Ambuja Cements Ltd | UltraTech Cement Ltd

Business Analysis and Valuation | Valuation date 31 March 2026

Ambuja Cements

Ambuja Cements Ltd	NSE: AMBUJACEM
SELL	Value Rs 99 Price Rs 401 -75%

The difficult-to-value name. Consolidated basis, ten-year explicit forecast. A third of the capital base is acquisition goodwill; economic value added is negative in nine of ten forecast years.

UltraTech Cement

UltraTech Cement Ltd	NSE: ULTRACEMCO
SELL	Value Rs 5,024 Price Rs 10,745 -53%

The easy-to-value name. Ten years of audited standalone history, five-year explicit forecast. It does earn above its cost of capital — but not enough to support 3.3 times invested capital.

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Exhibits are numbered A1–A25 for Ambuja, U1–U19 for UltraTech and C1–C6 for the comparative appendix. Board, management and product photographs are the companies' own published images, taken from the pages cited in Appendix I.

How to read this document

Every left-hand page carries the argument. Every right-hand column carries the evidence for it. Exhibits are numbered A1–A16 for Ambuja, U1–U14 for UltraTech and C1–C6 for the comparative appendix, and each is reproducible from the accompanying Excel models.

Part I

Ambuja Cements Ltd

The difficult-to-value name. A company that has bought a great deal of cement capacity, earns very little on it, and is priced as though it already earns a great deal.

Ambuja Cements Ltd

NSE: AMBUJACEM | BSE: 500425

SELL

Value Rs 99.4 | Price Rs 400.90 | -75.2% | Consolidated

1 Investment case and recommendation

We initiate on Ambuja Cements with a **SELL** and an intrinsic value of Rs 99.4 per share against a traded price of Rs 400.90. Five discounted cash flow methods — FCFF, capital cash flow, adjusted present value, FCFE and economic value added — reconcile to that figure to the last paisa. The gap to the market is not a rounding question or a discount-rate question. It is a question about returns.

The central finding is arithmetic rather than rhetorical. Return on invested capital including goodwill is 4.6% in FY2026-27 and reaches only 8.7% by FY2035-36, against a weighted average cost of capital of 11.36%. Economic value added is negative in nine of the ten forecast years. When a company earns less on capital than capital costs, enterprise value sits below invested capital, and that is precisely what this model produces.

1.1 Three things explain the return

The plants are underworked. Capacity utilisation is 67.9% against 82% at UltraTech. Ambuja owns 109 million tonnes of capacity and sold 74 million tonnes. A large asset base is being carried by a smaller volume than it was built for, and fixed costs are spread thinly as a result.

Unit economics are weak. EBITDA per tonne is Rs 886. UltraTech's core assets earn Rs 966 and the wider peer set earns more. The gap is concentrated inside the standalone parent, which runs an 11.7% EBITDA margin while the subsidiaries run 23.3%.

A third of the capital was bought, not built. Acquisitions left Rs 22,979 crore of goodwill and other intangibles on the balance sheet — 34.2% of invested capital. That is capital shareholders paid for and must earn a return on. Strip goodwill out and ROIC improves from 4.6% to 7.0%, which measures the plants but flatters what shareholders actually earned.

The one number that matters

To justify Rs 400.90 the market must underwrite a terminal return on invested capital comfortably above 15%, sustained in perpetuity. Ambuja has not earned above its cost of capital in either year of consolidated history the annual report provides.

1.2 What we already give the company

This is not a bearish forecast dressed as analysis. The model assumes utilisation climbs from 67.9% to 85%, EBITDA per tonne rises 70% over ten years from Rs 886 to Rs 1,502, the standalone margin more than doubles from 11.7% to 19.0% as the Sanghi and Penna integrations complete, and capacity grows from 109 to 133 million tonnes. On those assumptions the value is Rs 99.4. The forecast is generous and the answer is still a quarter of the price.

2 Company profile: what it sells, where it operates, who owns it

2.1 The company

Ambuja Cements Ltd was incorporated in 1983 as Gujarat Ambuja Cements and became one of India's largest cement producers over

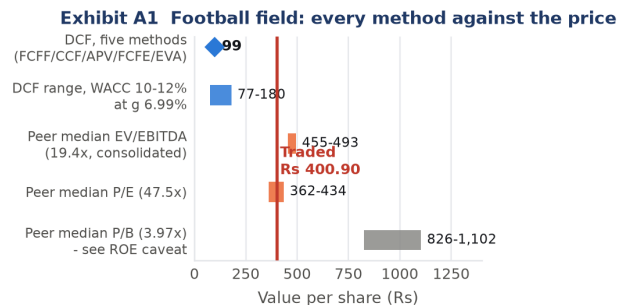


Exhibit A1. Ranges are the model's own outputs; peer multiples are applied to Ambuja's consolidated FY2025-26 EBITDA, normalised PAT and net worth. Source: authors' model; peer annual reports; NSE close 30 March 2026.

Exhibit A4 Return on capital never reaches its cost

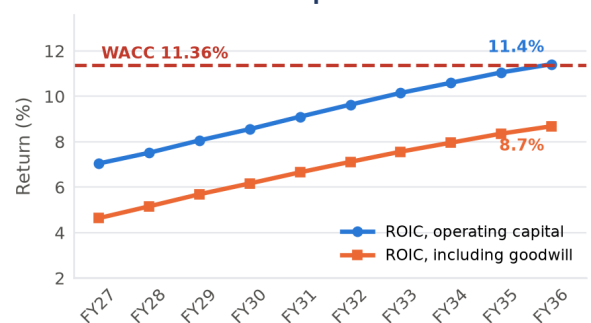


Exhibit A4. NOPAT is EBIT taxed at the statutory 25.168% throughout; the reported effective rate is negative and is never used. Invested capital is measured on opening balances. Source: authors' model.

Exhibit A5 Economic value added is negative for nine of ten years

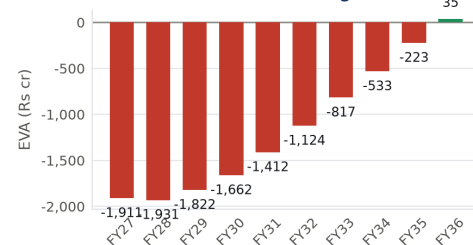


Exhibit A5. EVA is NOPAT less a capital charge of WACC on opening operating invested capital. It turns positive only in the final forecast year. Source: authors' model.

the following three decades. Control passed to Holcim in stages from 2006, and in September 2022 the Adani group acquired Holcim's Indian cement assets — Ambuja together with its listed subsidiary ACC — in what remains the largest acquisition in Indian building materials. The registered office moved to Adani Corporate House, Ahmedabad.

Since that change of control the group has expanded by acquisition rather than principally by greenfield construction: Sanghi Industries and Penna Cement were absorbed into the standalone entity by amalgamation, and Orient Cement was acquired from the CK Birla group. Consolidated capacity at the valuation date was 109 MTPA against a stated target of 119 MTPA, and consolidated cement sales volume was 74 million tonnes on revenue of Rs 40,656 crore.

Why the acquisition history is the valuation

Four acquisitions in three years is why Rs 22,979 crore of goodwill and intangibles sits on the balance sheet, why a third of invested capital was bought rather than built, and why utilisation is 67.9%. The corporate history and the return on capital are the same story told twice.

2.2 Products and brands

The group is a single-product business in economic terms: grey cement is the overwhelming majority of revenue. What varies is the brand and the blend. Ordinary Portland Cement, Portland Pozzolana Cement and Portland Slag Cement are sold under the Ambuja, ACC and Orient names, with premium and application-specific variants — Ambuja Plus, Ambuja Kawach for water resistance, Ambuja Compocem, and ACC's Gold and Suraksha ranges — carrying higher realisation per tonne. Ready-mix concrete and aggregates, largely through ACC Concrete, make up the small remainder.

For valuation purposes the mix matters less than the tonne. The model is built on capacity times utilisation times realisation per tonne precisely because that is what the business actually is, and because premium-blend share is one of the few levers management holds over realisation in a market where price has been flat to falling.

2.3 Board of directors

The board is chaired by **Gautam Adani** in a non-executive, non-independent capacity, with **Karan Adani** also non-executive and non-independent. **Vinod Bahety** is Wholetime Director and Chief Executive Officer, and is the executive accountable for the integration programme on which this valuation turns. Five independent directors — **Rajnish Kumar**, former Chairman of the State Bank of India, **Maheswar Sahu**, **Purvi Sheth**, **Ameet Desai** and **Praveen Garg** — make up 62.5% of the board. Photographs, roles and the governance analysis follow on the next page.

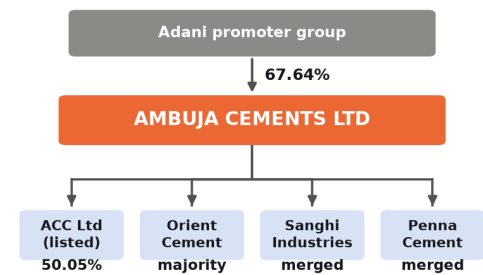
Sourcing note

The board list, the committee structure, the 62.5% independence ratio and the 96.24% attendance figure are taken from the Board of Directors pages of the FY2025-26 Integrated Annual Report (pp. 230–231). The shareholding pattern is from the Shareholder Information section of the same report and the company's shareholding-pattern filings. Nothing in this section comes from a financial data aggregator.

2.4 Operating footprint

The group operates a national network of integrated plants, grinding units and terminals. Consolidated capacity was 109 MTPA at the valuation date against a stated target of 119 MTPA, with 10.2 MTPA of scheduled expansion due to complete by FY2026-27. Rs 9,085 crore of capital work in progress was still to be commissioned — which is

Exhibit A17 Ownership and control at the valuation date



All four are being merged into Ambuja; the share count rises c.13.7%.

Exhibit A17. Promoter percentage is company-disclosed at 31 March 2026. ACC remained separately listed at the valuation date; all four entities are being merged into Ambuja. Source: company disclosures; FY2025-26 annual report, subsidiary listing.

Exhibit A18 What Ambuja sells

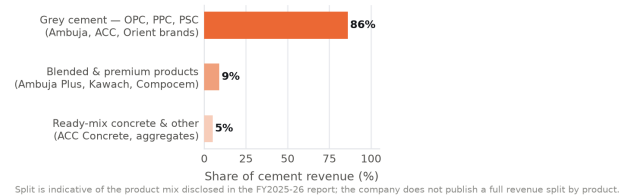
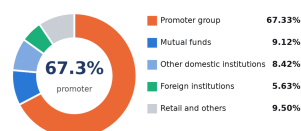


Exhibit A18. Grey cement is the business; the brand and the blend decide realisation per tonne. The company does not publish a full revenue split by product, so the split shown is indicative of the disclosed mix. Source: FY2025-26 annual report; authors' analysis.

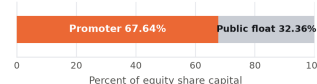
Exhibit A20 Shareholding pattern, June 2026



Promoter shares are reported unpledged. Percentages sum to 100%. Source: FY2025-26 Integrated Annual Report, Shareholder Information; shareholding-pattern filings.

Exhibit A20. Promoter shares are reported unpledged. Domestic institutions own 17.5% between mutual funds and other institutions; foreign institutional ownership is modest at 5.6%, so the register is domestically anchored. Source: FY2025-26 Integrated Annual Report, Shareholder Information; shareholding-pattern filings.

Exhibit A19 Promoter holding and free float



Promoter 67.64% (67.68% on a voting-rights basis) at 31 March 2026; revised to 67.29% from 10 April 2026 on the Sanghi share issue. Company disclosure.

Exhibit A19. The promoter/float split at the valuation date itself. Source: company disclosure of the Sanghi amalgamation share issue.

why free cash flow is negative in the first two forecast years and why utilisation, not capacity, is the binding constraint.

Management's own stated priorities for the period map onto the same three levers this report measures: complete the scheduled expansion; integrate the acquired assets across logistics, procurement and market execution; and improve the energy mix, circular materials and lower-clinker product share while preserving cost competitiveness.

2.5 Shareholders and shareholding pattern

Ambuja is a promoter-controlled company with a substantial free float. The Adani promoter group held **67.64%** of the equity share capital at 31 March 2026 — 67.68% on a voting-rights basis — leaving a public float of 32.36%. On 10 April 2026 the company issued 1,29,93,708 equity shares to eligible shareholders of Sanghi Industries under the amalgamation, which diluted the promoter holding to 67.29% (67.33% on voting rights).

Two features of the register matter for the valuation. First, the free float is large enough that the traded price is a genuine market clearing price rather than a thin quote, so the 75% gap this report identifies cannot be dismissed as an artefact of illiquidity. Second, the pending merger of ACC, Orient, Sanghi and Penna into Ambuja raises the share count by roughly 13.7% and further dilutes the promoter stake — the mechanism by which minority leakage is removed, and the reason both a pre-merger and a post-merger per-share figure are presented in the valuation section.



Exhibit A25. National plant, grinding-unit and terminal footprint. Cement is freight-constrained, so regional density matters more than national share. Source: FY2025-26 Integrated Annual Report, At a Glance.

The company at a glance

Item	Value
Incorporated	1983
Promoter group	Adani
Control acquired	September 2022
Registered office	Ahmedabad
Listings	NSE, BSE
Capacity, consolidated (MTPA)	109
Capacity target, stated (MTPA)	119
Sales volume FY26 (Mn.T)	74.0
Capacity utilisation FY26	67.9%
Consolidated revenue (Rs cr)	40,656
Consolidated EBITDA (Rs cr)	6,559
EBITDA per tonne (Rs)	886
Shares outstanding (crore)	247.18
Market capitalisation (Rs cr)	99,095
Promoter holding, 31-Mar-26	67.64%
Public float	32.36%
Listed subsidiary	ACC Ltd (50.05%)

Source: FY2025-26 Integrated Annual Report; NSE close 30 March 2026.

Board metrics

Metric	Value
Directors on the board	8
of which independent	5
Independent directors	62.5%
Average attendance, board and committees	96.24%
Age profile, 35–55 years	37.5%
Age profile, 56–75 years	62.5%
Statutory committees	5
Additional governance committees	6

Source: FY2025-26 Integrated Annual Report, Board of Directors, pp. 230–231.

Board of directors

Ambuja Cements Ltd, as constituted at 31 March 2026. Source: FY2025-26 Integrated Annual Report, Board of Directors, pp. 230–231.



Gautam Adani
Non-executive
Chairman,
Non-independent



Karan Adani
Non-executive,
Non-independent
Director



Vinod Bahety
Wholetime Director &
CEO



Rajnish Kumar
Non-executive,
Independent Director



Maheswar Sahu
Non-executive,
Independent Director



Purvi Sheth
Non-executive,
Independent Director



Ameet Desai
Non-executive,
Independent Director



Praveen Garg
Non-executive,
Independent Director

Composition and coverage

Five of the eight directors are independent, so **independent directors comprise 62.5% of the board**. Reported average attendance at board and committee meetings was **96.24%** in FY2025-26. The age profile splits 37.5% in the 35–55 band and 62.5% in the 56–75 band.

Statutory committees cover audit, nomination and remuneration, stakeholder relationships, corporate social responsibility and risk management. Beyond the statutory minimum the board runs committees for mergers and acquisitions, technology and data security, commodity prices, legal and tax, and corporate responsibility and reputation risk. That is unusually broad committee coverage for an Indian mid-to-large-cap industrial.

Formal governance is strong; the question is capital allocation

Breadth of committee coverage is not the issue at Ambuja. The substantive governance question this report raises is narrower and harder: whether the board is testing acquisition synergies, utilisation ramps and impairment assumptions against *realised cash returns*. Four acquisitions in three years produced Rs 22,979 crore of goodwill and a return on capital that has not reached its cost. The critical bridge is from transaction approval to post-acquisition accountability — capex, integration cost, minority dilution and ROIC tracked together, not separately.

Where independent challenge should bite

Independent directors chair or sit on the audit, risk, nomination, technology, legal and responsibility committees. On the evidence in this report, their most material contribution is ensuring that reported scale, premiumisation and ESG progress are reconciled with free cash flow and with the return on the *full* capital base — including the goodwill that EBITDA cannot see.

Three questions a shareholder should put to the board

1. What return on invested capital, including acquisition goodwill, does the board hold management to, and over what period?
2. At what point does a utilisation ramp that has not materialised trigger an impairment review of the Rs 22,979 crore carried as goodwill and intangibles?
3. On the merger of ACC, Orient, Sanghi and Penna, what is the board's own estimate of value created net of the 13.7% dilution — expressed in cash, not in EPS?

Senior management

The leadership team executing the integration on which the bull case depends. Source: FY2025-26 Integrated Annual Report, Leadership Team, pp. 232–233.



Vinod Bahety
Wholetime Director & CEO



Rohit Soni
Chief Financial Officer



Sanjay Kumar Gupta
Chief Procurement Officer



Praveen Kumar Garg
Chief Logistics Officer



Bhimsi Kachhot
Chief Strategy & Business
Development



Sanjay Behl
Head – Sales, Marketing & Logistics



John Varghese
Chief People Officer



Madhavi Isanaka
Chief Digital Officer



Vineet Bose
Chief Legal Officer



Vaibhav Dixit
Head – Manufacturing

Execution priorities. The scorecard that matters for this valuation is narrow: fill the plants, lift EBITDA per tonne toward the peer set, convert the Sanghi and Penna assets from a drag into contributors, and complete the merger without leaking value through the exchange ratios. Four of the ten roles above — procurement, logistics, manufacturing and strategy — map directly onto the cost per tonne that decides whether return on capital ever crosses the cost of capital.

What to watch. Consolidated EBITDA per tonne is the single disclosure that separates this valuation from the market price. Below it, the two operating levers are utilisation (67.9% today against 82% at UltraTech) and the blended cost per tonne that procurement, logistics and manufacturing jointly control. Premium mix helps realisation at the margin but cannot by itself close a 75% valuation gap.

3 Margin stack, working capital and depreciation

Three FY2025-26 disclosures explain why a better cost performance did not reach the operating line. Taken together they are the thesis of this report compressed into one financial year.

3.1 The direct economics improved

Manufacturing gross margin — revenue less materials, stock-in-trade, inventory movement and power and fuel — rose from 57.9% to 58.8%. Delivered gross margin, which also deducts freight, improved from 34.4% to 35.4%, with freight broadly flat at 23.4% of revenue. On the direct cost line, FY2025-26 was a good year.

3.2 But EBITDA margin fell

EBITDA margin nevertheless declined from 16.9% to 16.1%, because employee and other expenses rose from 17.5% to 19.3% of revenue. The saving made on materials and fuel was consumed by overhead, much of it integration-related.

3.3 And EBIT margin fell much further

EBIT margin dropped from 10.4% to 7.4%. That 3.1-point fall is larger than the EBITDA decline, and the difference is depreciation. D&A rose 55.4% to Rs 3,570 crore, from 6.5% to 8.8% of revenue and from 38.4% to 54.4% of EBITDA. Within it, intangible amortisation more than doubled to Rs 607 crore as acquired brands, mining rights and other intangibles entered the consolidated base.

This is the thesis in one financial year

Ambuja got better at making cement in FY2025-26 and worse at earning a return. The gain was real and it was captured at the gross line. It was then absorbed by integration overhead and, decisively, by a depreciation charge rising nearly four times faster than revenue. A margin-recovery case must show where employee and other expenses normalise; it cannot simply assume price improvement.

3.4 Working capital: real, but borrowed

Core trade-cycle working capital fell from Rs 2,843 crore to Rs 2,236 crore, releasing about Rs 608 crore, and the cash conversion cycle improved from 32.7 to 20.8 days. Read the composition, though. Inventory days fell 4.1 and receivable days were flat, while payable days rose 7.6 as payables grew 39.7%. The improvement came mostly from **supplier funding**, not from faster collection. Within inventory the mix also shifted: fuel inventory fell 26.8% while stores and spares rose 46.8%, work-in-progress 51.3% and finished goods 30.4% — consistent with commissioning and integration activity rather than with tighter management.

Why we did not capitalise the improvement

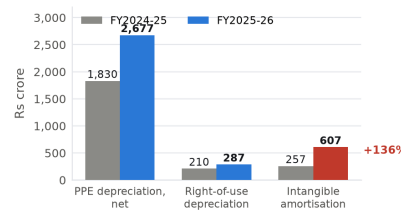
Continued reliance on higher payable days is not an operating margin improvement and should not be extrapolated. Our forecast holds net working capital at minus 0.34% of revenue — essentially the FY2025-26 actual — so no cash is manufactured from the working-capital line in any forecast year. Note also that receivables ageing deteriorated beneath a stable headline: the 6–12 month bucket rose to Rs 111 crore from Rs 30 crore.

Exhibit A21 Direct economics improved: the operating line did not



Exhibit A21. Manufacturing gross margin deducts materials, stock-in-trade, inventory movement and power and fuel; delivered gross margin also deducts freight. Neither is a reported Ind AS subtotal, so both are computed from the disclosed expense notes. Source: FY2025-26 consolidated financial statements, Notes 44–51.

Exhibit A22 The charge that broke the EBIT margin



Total D&A rose 55.4% to Rs 3,570 cr against revenue growth of 15.1%. Source: FY2025-26 consolidated statements, Note 49.

Exhibit A22. The composition of the charge. Intangible amortisation is the fastest-growing element and sits on a balance the forecast holds flat. Source: FY2025-26 consolidated financial statements, Note 49.

Exhibit A23 The cycle improved, but on supplier credit

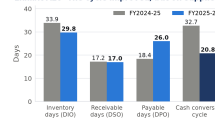


Exhibit A23. DIO and DPO use cash operating cost; DSO uses revenue from operations. All day metrics are closing-balance proxies, because a comparable opening FY2024-25 group balance is not available after restatement and acquisitions. Source: FY2025-26 consolidated financial statements, Notes 15, 17 and 35.

This resolves an audit item, against us

Our model charges depreciation at 8.0% of opening *operating* fixed assets while holding the Rs 9,433 crore intangible balance flat and never amortising it. Historical D&A includes Rs 607 crore of amortisation on exactly those intangibles. The rate and the asset base do not cover the same assets — the asset-consistency PARTIAL recorded in Appendix C. We can now put a number on it. Modelling the amortisation explicitly would reduce forecast NOPAT and *lower* the valuation further, so the omission runs against our own recommendation.

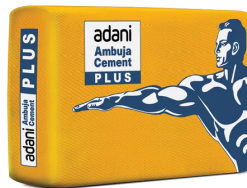
Products and brands

Core and premium cement, and allied building materials. Product images from the FY2025-26 Integrated Annual Report and the Ambuja product portfolio.



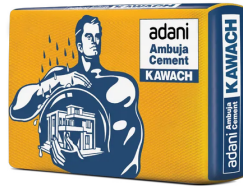
Adani Ambuja Cement

The core high-performance product for general residential and commercial construction.



Ambuja Plus

Formulated for stronger, denser concrete. Sits in the premium range.



Ambuja Kawach

Water-repellent formulation, positioned as a super-premium product.



Ambuja Compocem

Slag and silicate enriched, for a finer, brighter, lower-impact finish.



Ambuja Cool Walls

Eco-friendly walling blocks designed to keep homes up to 5 degrees cooler.

Why the portfolio matters, and how much

Cement is a commodity and differentiation is limited to brand, blend and service. Ambuja nonetheless runs a real premium ladder: Plus for strength, Kawach for moisture resistance, Compocem for finish and lower clinker intensity. Premium and specialised products accounted for roughly **35% of trade sales** in FY2025-26. Four products — Ambuja Cement, Plus, Kawach and Compocem — carry GRIHA certification as low-impact products, which matters for institutional and government demand.

Alongside the bagged range sit Cool Walls, an eco-friendly walling block, and Alccofine, a specialised supplementary cementitious material for demanding applications. ACC Concrete supplies ready-mix.

The commercial reading

Mix improvement supports realisation and brand differentiation, and it is a genuine lever — but it is a second-order one. On our forecast, realisation grows below inflation for most of the ten-year period and roughly 60% of the assumed improvement in EBITDA per tonne comes from cost and fixed-cost absorption rather than from price.

The honest weighting

A premium ladder that reaches 35% of trade sales is a good business asset. It is not large enough to change the answer. The consolidated EBITDA outcome still depends on plant utilisation and the cost base, which is why the valuation is built on capacity times utilisation times EBITDA per tonne rather than on product mix.

4 How the group is put together for valuation

Ambuja Cements is the Indian cement arm of the Adani group. At the valuation date the group comprised the standalone parent — which itself absorbed Sanghi Industries and Penna Cement by amalgamation — together with a 50.05% holding in the separately listed ACC Ltd and majority holdings in Orient Cement and others. Consolidated capacity was 109 MTPA against a stated target of 119 MTPA, and consolidated cement sales volume was 74 million tonnes on revenue of Rs 40,656 crore.

4.1 Why this valuation is consolidated

Ambuja standalone carries 61.6% of group revenue but only 44.7% of group EBITDA. The parent runs an 11.7% margin; the subsidiaries run 23.3%. The weak assets — Sanghi and Penna — sit inside the standalone entity, while the better assets, ACC and Orient, sit outside it. A standalone model would value the worse half of the business and ignore the better half, while the market capitalisation prices the whole group.

A category error worth avoiding

Dividing the group market capitalisation of Rs 99,095 crore by *standalone* EBITDA of Rs 2,930 crore prints an EV/EBITDA of 34.0x and is meaningless. Adding the non-controlling interest of Rs 12,499 crore to enterprise value and dividing by *consolidated* EBITDA of Rs 6,559 crore gives 17.0x. That is the pairing used throughout this report.

4.2 The forecast is a build-up, not a single margin

Consolidated revenue is built from physical capacity times utilisation times realisation per tonne, which disciplines the forecast against the plant the company actually owns. That consolidated revenue is then split into the standalone parent and the subsidiary block using the FY2025-26 revenue share of 61.6%, and each block carries its own margin path. Consolidated EBITDA is the sum of the two blocks, never an assumed group margin.

4.3 The merger changes the share count, not the economics

ACC, Orient, Sanghi and Penna are being merged into Ambuja. Pre-merger, the non-controlling interest of Rs 12,499 crore is deducted in the bridge and the value is divided by today's 247.18 crore shares. Post-merger, the minority is acquired and the share count rises roughly 13.7%. Both routes should give a similar answer, and they do: Rs 99.4 pre-merger against Rs 132 post-merger, the difference being the discount at which minorities are being bought in.

Open item

The swap ratios and the 13.7% dilution reached this model through broker research, which our sourcing policy does not admit. They must be re-sourced from the scheme filing before the post-merger figure is relied upon.

5 Industry context, demand and decarbonisation

Indian cement is a regional, freight-constrained commodity. Cement cannot travel far economically, so competition is decided within a few hundred kilometres of a plant and national market share means less than regional density. Demand is driven by housing, infrastructure and government capital expenditure.

Three features of the current cycle matter for this valuation. First, the industry has been adding capacity faster than demand, which holds utilisation near 80% and caps pricing power. Second, realisation has

Exhibit A15 61.6% of revenue, 44.7% of profit

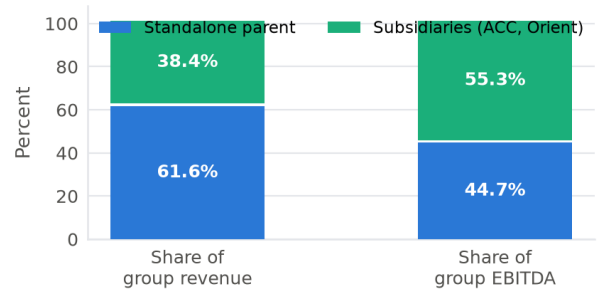


Exhibit A15. The subsidiary column is derived as consolidated less standalone and therefore ties to the reported total by construction. Intercompany eliminations sit inside the subsidiary column because they cannot be separated from the published statements. Source: FY2025-26 annual report, consolidated and standalone statements of profit and loss.

Exhibit A8 The parent carries the weak assets

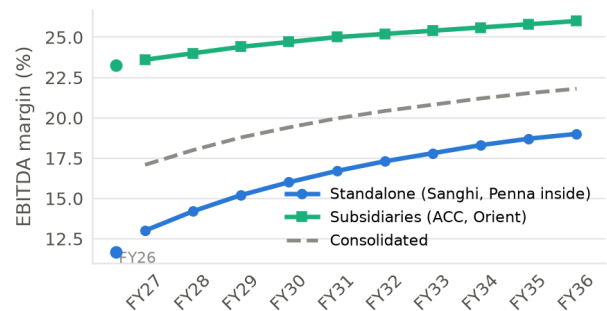


Exhibit A8. The parent starts at 11.7% because Sanghi and Penna sit inside it; the subsidiaries start at 23.3% because ACC and Orient sit outside it. The consolidated line is the weighted outcome, not an input. Source: authors' model.

Exhibit A6 The plants exist; the question is whether they fill

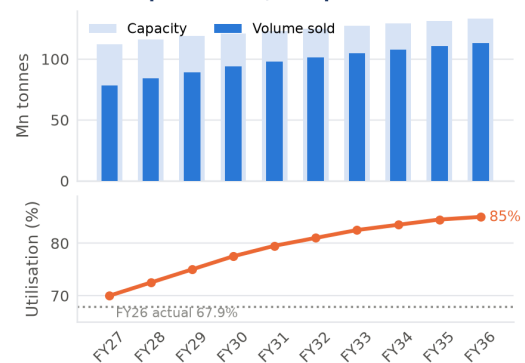


Exhibit A6. Volume is built as capacity times utilisation rather than assumed as a growth rate, so projected volume can never exceed the plant the company owns. Source: authors' model; capacity target of 119 MTPA per the FY2025-26 annual report.

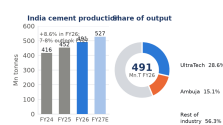


Exhibit A24. Industry production and the two companies' directional share of it. Sources: IBEF, Indian Cement Industry, May 2026; ICRA volume outlook; company reports.

been flat to falling in real terms: UltraTech's realisation compounded at 2.0% over ten years and fell 6.1% in FY2024-25. Third, consolidation has been aggressive, and the acquirers have paid prices that put goodwill on balance sheets — which is exactly the problem this report measures.

Why the sector's own multiple cannot settle the argument

A peer median EV/EBITDA of 19.4x, solved back through the steady-state identity, implies perpetual growth of 10.99%. Nominal GDP on our own assumptions is 10.76%. A company cannot outgrow the economy forever, so the peer multiple is the implausible end of the range, not the benchmark against which our DCF should be corrected.

5.1 The global backdrop

The IMF projects global growth of 3.0% in 2026 and 3.4% in 2027. The economy is resilient but uneven: technology investment supports activity while geopolitical and energy shocks weigh on importers, and disinflation has stalled — leaving interest-rate and energy-cost volatility directly relevant to cement demand and fuel procurement.

Indian cement is predominantly a domestic industry, but the transmission is asymmetric: imported coal, petcoke, freight and financing conditions transmit global shocks into margins faster than global construction volumes transmit into demand. That asymmetry is why a cost-led margin thesis is more fragile than a volume-led one.

5.2 The Indian market

India is the world's second-largest cement producer. Industry production reached approximately **491.4 million tonnes** in FY2025-26, up 8.6%, and ICRA's FY2026-27 volume outlook is 7–8%. Infrastructure, urban housing and industrial capex remain the structural demand engines. Installed capacity is projected to reach roughly 850 MTPA by 2030, a 5.1% compound rate from 2025.

Demand is not the problem

Volume growth of 7–8% against nominal GDP of 10.76% is a perfectly healthy industry. The difficulty is that capacity is being added at least as fast, which holds utilisation near 80% across the sector and keeps pricing competitive. Earnings improvement therefore has to come from utilisation, integration and fixed-cost absorption rather than from sustained real price increases — which is exactly what both forecasts in this report assume.

5.3 Decarbonisation, and why it is a cost story

Global cement production has softened in recent years but direct emissions intensity has not materially improved. Decarbonisation depends on lower clinker factors, supplementary cementitious materials, alternative fuels, material efficiency and eventually carbon capture. The IEA estimates that early near-zero cement plants using carbon capture can cost 75–150% more than conventional production, so green-premium demand and policy support remain important to the economics.

For both companies in this report, blended products and renewable power lower emissions *and* operating cost simultaneously. Carbon capture is a longer-dated capital and policy question that does not bear on a valuation struck today.

Why ESG does not enter this valuation separately

We do not adjust the discount rate or the cash flows for ESG factors, and this is a deliberate methodological position rather than an omission. The green energy and waste heat recovery programmes already appear in both forecasts as the cost improve-

India cement industry indicators

Indicator	Value
FY2025-26 production	491.4 Mn.T
FY2025-26 growth	8.6%
FY2026-27 volume outlook	7–8%
2030 installed capacity projection	850 MTPA
2025–30 capacity CAGR	5.1%
Sector utilisation, approximate	c.80%
Ambuja share of output	c.15%
UltraTech share of output	c.29%

Sources: IBEF, May 2026; ICRA; company reports.

The one number that ties industry to valuation

If the industry adds capacity at 5.1% a year while demand grows 7–8%, utilisation improves only slowly and pricing stays competitive. That is the environment both models assume: realisation growing at or below inflation, with margin improvement coming from cost and absorption. A reader who expects a genuine pricing cycle should say so explicitly and re-run the sensitivity grid — the tables are built to take it.

Global context

Indicator	Value
Global growth, 2026	3.0%
Global growth, 2027	3.4%
Near-zero cement cost premium (IEA)	75–150%
Ambuja green power ambition	rising
UltraTech green power share	43%
UltraTech green power ambition	65%

Sources: IMF, July 2026 World Economic Outlook Update; IEA, Breakthrough Agenda Report 2025 — Cement and Concrete.

ment that lifts EBITDA per tonne. Adding an ESG premium or discount on top would count the same effect twice — a straightforward breach of the assumptions consistency this report is built on.

We also do not use third-party ESG scores. They vary widely between providers for the same company, their methodologies are not disclosed in enough detail to audit, and they are not an authorised source under the data policy applied throughout this work.

6 Historical analysis and value drivers

6.1 Two years of consolidated history, and why

The FY2025-26 annual report provides consolidated statements for FY2025-26 and a restated FY2024-25, and no more. Earlier consolidated years exist only in broker research, which is not an authorised source. A return trend asserted from two points is thin, and we say so rather than manufacture depth. Two further distortions matter: FY2024-25 was restated for the Sanghi and Penna amalgamation, and the transition year to March 2023 covered fifteen months. No growth rate should be taken off the reported series without adjustment.

6.2 The tax line is not usable as reported

Ambuja's reported consolidated tax line for FY2025-26 is a net *credit* of Rs 2,338 crore, so reported profit exceeds profit before tax and the reported effective rate is minus 71%. Every return measure in this report is therefore computed at the statutory rate of 25.168% under section 115BAA. The credit decomposes into three drivers, and treating each on its economics rather than its accounting turns a headline gain into a loss of Rs 11.54 per share.

Exhibit A13 The Rs 2,338 cr tax credit is worth minus Rs 11.54

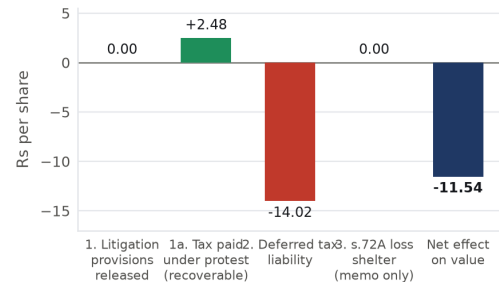


Exhibit A13. Driver 1 is excluded because the model taxes EBIT at the statutory rate throughout, so the reversal was never in the cash flows. Driver 1a is real cash already paid and recoverable, and sits outside operating invested capital. Driver 2 is deducted once rather than amortised. Driver 3 is memo only because it is already netted inside Driver 2. Source: FY2025-26 annual report, notes 32 and 53; authors' analysis.

The three drivers of the Rs 2,338 crore credit

Driver	Rs cr	Treatment
1. Litigation provisions released	1,251	Excluded
1a. Tax paid under protest	614	Added as asset
2. Deferred tax liabilities	3,466	Deducted once
3. s.72A loss shelter	346	Memo only
Net effect on value		—Rs 11.54/sh

Source: FY2025-26 annual report, note 32(ii) and note 53.

Historical returns, consolidated

	FY25R	FY26
Revenue incl. grants (Rs cr)	35,336	40,656
EBITDA (Rs cr)	5,984	6,559
EBITDA margin	16.9%	16.1%
EBITDA per tonne (Rs)	n/a	886
Capacity utilisation	n/a	67.9%
ROIC incl. goodwill	5.2%	3.3%
ROIC excl. goodwill	7.6%	5.0%
Goodwill % of invested capital	30.9%	34.2%
Reported effective tax rate	13.3%	—70.9%

NOPAT is EBIT at the statutory 25.168%. Source: FY2025-26 annual report; authors' analysis.

6.3 The value drivers, ranked

Three levers move this valuation, and they are the three the forecast narrative spends its words on.

Capacity utilisation. The single most important driver. The plants exist and are paid for; whether they fill decides whether the fixed cost base is absorbed. Every point of utilisation is close to pure margin.

EBITDA per tonne. The metric the industry actually steers by. Our path takes it from Rs 886 to Rs 1,502, with roughly 60% of the improvement assumed to come from cost and fixed-cost absorption rather than price.

The capital base. Goodwill of Rs 22,979 crore does not shrink and does not earn a separate return. It is the denominator problem that no operating improvement of plausible size can outrun.

Forecast drivers, FY2026-27 to FY2035-36

Driver	FY27	FY31	FY36
Capacity (MTPA)	112	123	133
Utilisation	70.0%	79.5%	85.0%
Volume (Mn.T)	78.4	97.8	113.1
Realisation growth	4.8%	2.0%	1.2%
Standalone revenue share	61.5%	60.7%	60.0%
Standalone EBITDA margin	13.0%	16.7%	19.0%
Subsidiary EBITDA margin	23.6%	25.0%	26.0%
Consolidated margin (output)	17.1%	20.0%	21.8%
EBITDA per tonne (Rs)	983	1,288	1,502
Capex (Rs cr)	9,500	7,500	7,500
Depreciation, % opening assets	8.0%	8.0%	8.0%
NWC, % of revenue	—0.34%	—0.34%	—0.34%

Every figure is an input on the Assumptions sheet of the model. Source: authors' assumptions anchored to the FY2025-26 annual report.

What the two ROIC lines are for

Excluding goodwill, the business earns a mediocre return that measures the plants. Including goodwill, the return measures what shareholders actually earned on what they actually paid. Both are shown throughout. The second is the one that decides the valuation.

7 Forecast assumptions

The explicit period is ten years, not the customary five. Ambuja runs at 67.9% utilisation and earns far below its cost of capital today; a five-year window ends before the ramp has played out and throws almost the entire value into the terminal period. A longer explicit horizon is the standard treatment for a difficult-to-value company, and it holds terminal value to 72% of enterprise value rather than the 85%-plus a five-year horizon would produce.

Every driver is set out in the table opposite with the anchor it came from. Two deserve comment. Realisation is assumed to grow *below* inflation for most of the forecast, consistent with the sector's record and with sell-side assumptions of flat to falling net sales realisation. And net working capital is held at minus 0.34% of revenue, essentially the FY2025-26 actual, so no cash is manufactured by shrinking working capital.

The assumption that carries the case

The standalone EBITDA margin rising from 11.7% to 19.0% is the single most important assumption in the model. It embeds a complete turnaround of the Sanghi and Penna assets. If it does not happen, the value is materially lower than Rs 99.4.

8 Cost of capital

Ambuja carries almost no debt — borrowings and leases of Rs 866 crore against a market capitalisation of Rs 99,095 crore, a debt-to-equity ratio of 0.87%. The capital structure machinery therefore barely binds: WACC, the unlevered rate ρ and the cost of equity sit within four basis points of each other.

8.1 Inputs

The risk-free rate is the FBIL 10-year G-Sec par yield of 6.85% for the week ended 20 March 2026, the last weekly print before the valuation date, less the India sovereign default spread of 1.87% — because the equity risk premium already contains a country risk premium and double-counting it would be a risk-consistency error. That gives a default-free rupee rate of 4.98%. The equity risk premium of 7.08% and the unlevered building-materials beta of 0.90 are Damodaran, January 2026; the cash-corrected beta is used because cash is added back separately at the bridge.

8.2 Relevering: the debt policy has to match the formula

The model assumes a constant debt-to-value ratio with continuous rebalancing — Harris–Pringle, Case 2 in the course taxonomy — which is what allows the interest tax shield to be discounted at ρ and what makes all five methods agree. Under that policy the relevering formula carries *no* tax term: $\beta_L = \beta_U(1 + D/E)$. This report applies that formula consistently, giving a levered beta of 0.9079 and a cost of equity of 11.41%.

Circularity

At a debt-to-equity ratio of 0.87%, no plausible revision to the equity value moves the weights enough to change WACC in the

Exhibit A7 A 70% rise in unit EBITDA is already assumed

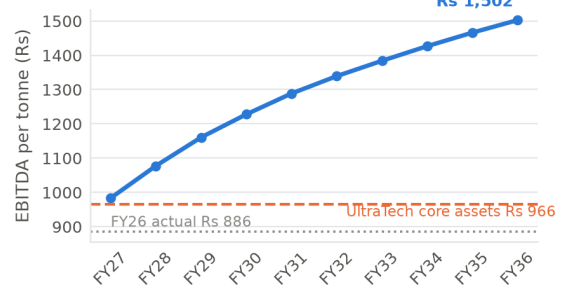


Exhibit A7. The endpoint of Rs 1,502 sits 56% above what UltraTech's best assets currently earn. The assumption is deliberately demanding: we wanted the valuation to fail on the capital base rather than on a conservative operating forecast. Source: authors' model.

Exhibit A9 A third of capital employed is acquisition goodwill

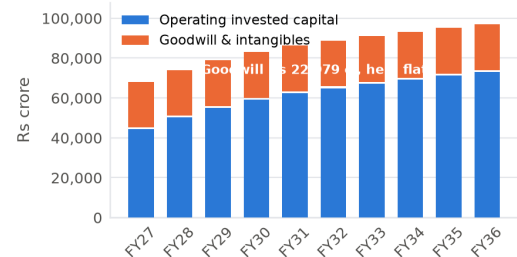


Exhibit A9. Goodwill is held flat in nominal terms across the forecast. It stays inside invested capital for the return measure, because it is capital shareholders paid, but it is excluded from terminal reinvestment because organic growth does not require buying more of it. Source: authors' model.

Cost of capital, Ambuja

Input	Value
10-year G-Sec par yield (FBIL, w/e 20-Mar-26)	6.85%
Less: India sovereign default spread	−1.87%
Risk-free rate (default-free rupee)	4.98%
India equity risk premium	7.08%
Unlevered beta, building materials	0.900
Market debt / equity	0.87%
Levered beta, $\beta_U(1 + D/E)$	0.9079
Cost of equity (CAPM)	11.41%
Pre-tax cost of debt	8.00%
Statutory tax rate (s.115BAA)	25.168%
Debt / enterprise value	0.87%
WACC	11.36%
Unlevered rate ρ	11.38%
Check: $\rho = WACC + K_{dt}(D/V)$	ties

Harris–Pringle constant-rebalancing policy applied consistently in the unlever, the relever and the shield. Source: RBI/FBIL; Damodaran January 2026; authors' analysis.

Beta: bottom-up against regression

Measure	Value
Bottom-up levered beta (used)	0.908
Regression beta, 60 monthly obs.	1.151
R-squared	0.267
Blume-adjusted regression beta	1.101
Difference, regression less bottom-up	+0.243

Source: Damodaran January 2026; 60 monthly observations to March 2026 against the NIFTY 500.

Why the bottom-up beta is preferred

The regression explains only 27% of the variance and the price series was supplied with a vendor adjusted-close column rather than in exchange bhavcopy format. A bottom-up beta from 469 global building-materials firms is the more stable estimate. Using the

second decimal. The circularity problem is immaterial here, and we say so having checked it rather than having assumed it.

regression beta of 1.151 instead would raise the cost of equity to 13.13% and *lower* the value to roughly Rs 71 — the direction is against the company, so the conservative choice is the one we did not take.

9 Discounted cash flow valuation

9.1 The cash flow profile

Free cash flow to the firm is negative in FY2026-27 and FY2027-28. That is not a modelling error. It is what a company running at 67.9% utilisation with Rs 9,085 crore of capital work in progress still to commission looks like: capital is going out faster than the assets already built are bringing it in. FCFF turns positive in FY2028-29 and reaches Rs 6,693 crore by FY2035-36.

9.2 The terminal year

Terminal growth is 6.99%, built multiplicatively as 65% of nominal GDP, where nominal GDP is $(1 + 6.5\%)(1 + 4.0\%) - 1 = 10.76\%$ — not 10.5%. The same fraction is applied to both companies in this document so the two are treated consistently. Terminal reinvestment equals g times *operating* invested capital, excluding goodwill, because organic growth does not require buying more goodwill; charging g on goodwill as well would demand that the company keep making acquisitions forever merely to stand still.

9.3 From enterprise value to the owners' claim

The bridge deducts every claim that ranks ahead of, or alongside, the ordinary shareholder. Two items deserve note. Deferred tax liabilities of Rs 3,466 crore are deducted once at the valuation date rather than amortised: a deferred tax liability means cash tax has lagged book tax, so as it unwinds free cash flow falls, and taking it as a single deduction avoids pretending to know the timing. Non-controlling interest of Rs 12,499 crore is deducted because consolidated cash flows include 100% of subsidiaries the parent does not wholly own; omitting it would overstate value by about Rs 51 per share.

Result

Enterprise value Rs 39,833 crore. Equity value attributable to owners Rs 24,575 crore. Value per share **Rs 99.4** against a traded Rs 400.90, a downside of 75.2%.

Exhibit A3 Free cash flow turns positive only in FY29

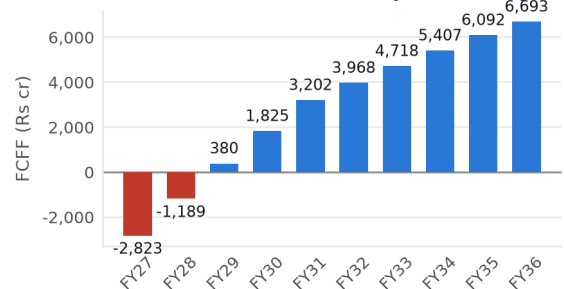


Exhibit A3. FCFF equals NOPAT plus depreciation less capex less the increase in net working capital. Source: authors' model.

Exhibit A2 From enterprise value to the owners' claim

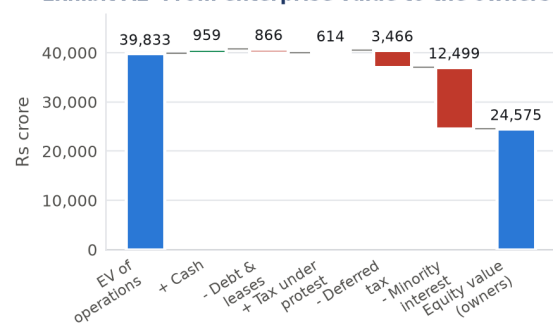


Exhibit A2. Every liability included in the cost of capital is subtracted here, and nothing is subtracted twice. Source: authors' model; FY2025-26 consolidated balance sheet.

Exhibit A14 A ten-year horizon holds terminal value to 72%

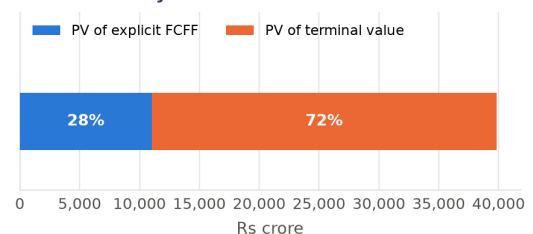


Exhibit A14. A ten-year explicit horizon holds terminal value to 72% of enterprise value, below the 80–90% threshold at which the terminal assumption effectively becomes the valuation. Source: authors' model.

DCF summary

Line	Rs cr
PV of explicit FCFF, FY27–FY36	11,060
PV of terminal value	28,773
Enterprise value of operations	39,833
Add: cash, bank and current investments	959
Less: borrowings and leases	–866
Add: tax paid under protest	614
Less: deferred tax liabilities	–3,466
Less: non-controlling interest	–12,499
Equity value, owners	24,575
Shares outstanding (crore)	247.18
Value per share (Rs)	99.4
Terminal value % of EV	72.3%
Implied terminal EV/EBITDA	4.65x

Source: authors' model.

10 Method equivalence and consistency audit

10.1 All five methods agree

FCFF discounted at WACC, capital cash flow and adjusted present value discounted at the unlevered rate ρ , FCFE discounted at the cost of equity, and economic value added built from opening invested capital all return the same equity value per share. The maximum difference across the five is zero to six decimal places.

What agreement does and does not prove

Agreement across five methods proves internal consistency and nothing more. It says nothing whatever about whether the assumptions are right. We were also able to reproduce the entire model independently in Python from the input assumptions alone, and both the value per share and the EVA-to-DCF identity tie exactly.

10.2 The five consistencies

Assumptions — PASS. Volume is capacity times utilisation, so growth is tied to physical assets. Capex is an explicit input anchored to the expansion plan and is never held flat while volume rises. The terminal year is forced to steady state with reinvestment equal to g times operating invested capital, which is the condition that makes EVA reconcile.

Risk — PASS. Firm flows at firm rates, equity flows at the cost of equity. Constant D/V rebalancing is assumed, so the tax shield is discounted at ρ , and the relevering formula carries no tax term to match. The identity $\rho = \text{WACC} + K_{dt}(D/V)$ ties exactly.

Asset — PARTIAL. Other income is excluded from EBITDA, so cash and investments are non-operating and added back once. The unlevered beta is cash-corrected for the same reason. *The gap:* depreciation is charged at 8.0% of operating fixed assets, but the historical charge includes amortisation of the Rs 9,433 crore intangible balance, which the model holds flat and never amortises. The charge and the base do not cover the same assets. Splitting the two requires a disclosed split that was not obtained.

Liability — PASS. Borrowings and leases sit in the WACC weights and in the bridge. Deferred tax is in neither the weights nor invested capital, because it bears no interest, but is deducted in the bridge. Non-controlling interest is deducted. Nothing appears twice and nothing is missing.

Multiplier — PARTIAL. The implied terminal EV/EBITDA of 4.65x sits far below the cement peer median of 19.4x. The two do not bracket. We take the position that the peer multiple is the implausible end — it requires perpetual growth above nominal GDP — but the gap is real and is recorded as a PARTIAL rather than smoothed over.

11 Relative valuation

Multiples are computed after the discounted cash flow, never before it, and are used to challenge the DCF rather than to set it. On the peer set Ambuja looks cheap: at 17.0x EV/EBITDA it is the lowest of the five names against a peer median of 19.4x, and at 1.67x price-to-book it is the lowest by a wide margin.

11.1 The two approaches disagree, and the disagreement is the finding

Relative valuation makes Ambuja look roughly a fifth cheap. The DCF says it is worth a quarter of its price. The resolution is in the price-to-book row. EV/EBITDA cannot see the Rs 22,979 crore of goodwill

Method equivalence

Method	Rate	Rs/sh	Diff
FCFF	WACC	99.42	0.00
CCF	ρ	99.42	0.00
APV	ρ	99.42	0.00
FCFE	K_e	99.42	0.00
EVA	WACC	99.42	0.00
Status		RECONCILED	

All five methods are built from the same forecast and must agree; any difference would be an error, not a modelling choice. Source: authors' model.

Mohanty Appendix 5A: the seven sanity checks

Check	Verdict
1. Revenue growth plausible vs GDP	PASS
2. Capacity supports projected volume	PASS
3. Capex sufficient to build capacity	PASS
4. Margin expansion realism	PARTIAL
5. Working capital sanity	PASS
6. Terminal ROIC fades toward WACC	PASS
7. Terminal value dominance	PASS

Source: authors' assessment against the course audit framework.

Check 4, and the direction of the error

EBITDA per tonne rises 70% over ten years to Rs 1,502, which is 56% above what UltraTech's best assets earn today. That is demanding. It is demanding *against us*: a reader who regards Rs 1,502 as unreachable should note that the value would be lower still, and the SELL stronger.

Check 6 passes here

Terminal ROIC on operating capital is 11.94% against a WACC of 11.36%, a spread of 0.58 percentage points. That is a defensible steady state for a commodity producer and assumes no perpetual supernormal rent. On invested capital *including* goodwill the terminal return remains below the cost of capital.

Exhibit A11 Ambuja is the cheapest name in the set

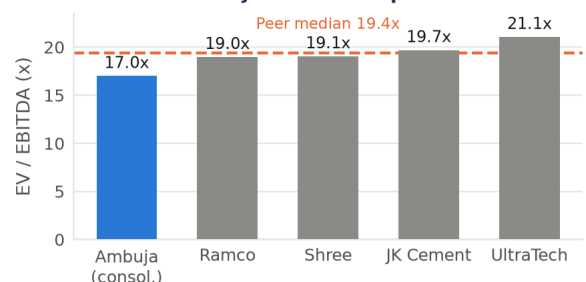


Exhibit A11. Ambuja on a consolidated basis with non-controlling interest added to enterprise value; peers standalone. Source: peer annual reports and disclosed market capitalisations, trailing twelve months to June 2026.

Ambuja capitalised on its acquisitions; price to book can. Across the peer set, price to book tracks return on equity closely — JK Cement at 5.6x on a 16% ROE, Shree at 3.7x on 7%, Ambuja at 1.7x on 3.8%. A company earning a lower return *should* trade at a lower multiple of book.

Cheap is the diagnosis, not the opportunity

Ambuja is priced at about 79% of UltraTech's EV/EBITDA, so it looks a fifth cheaper. It is priced at about 43% of UltraTech's enterprise value per rupee of invested capital. But it earns only about 31% of UltraTech's return on that capital. The discount is nowhere near large enough for the gap in returns.

11.2 A caution on the price-to-book row

Applying a peer price-to-book multiple to a company whose return on equity differs sharply from the peer set is not a valuation; it is a category error. The implied values of Rs 826–1,102 are shown for completeness, and because the pairing is itself the diagnostic, but they should not be carried into a conclusion without adjusting for the ROE difference.

11.3 Basis warning

Ambuja is carried on a consolidated basis and every peer on a standalone basis. This is necessary rather than sloppy: Ambuja's market capitalisation prices the whole group while its standalone EBITDA excludes ACC entirely. For the other four companies standalone and consolidated differ by under 10%, so the problem does not arise. Ambuja is also one quarter behind the others, on FY2025-26 rather than trailing twelve months to June 2026.

12 Sensitivity, scenarios and catalysts

12.1 Read the direction carefully

The WACC-against-growth grid slopes *upward* with terminal growth: at an 11% WACC the value rises from Rs 95 at 2% growth to Rs 108 at 6%. That is because this model assumes return on capital climbs to 11.94% by the terminal year, just above the cost of capital, so terminal growth adds value. In the early years, when the company earns roughly 7% against a cost of 11.4%, growth destroys value.

The real diagnostic is therefore the crossing point. Everything depends on whether return on capital actually climbs through the cost of capital. That is an assumption, not an observation, and Ambuja has not earned above its cost of capital in either year of consolidated history available.

12.2 What the traded price requires

Solved backwards, Rs 400.90 requires a weighted average cost of capital of 8.60% against our 11.36%. For a company funded 99% by equity that implies an equity risk premium far below any defensible figure. Holding the cost of capital and solving on operations instead requires a terminal return on capital comfortably above 15%, EBITDA per tonne above Rs 2,000, and utilisation above 90%.

12.3 Catalysts

A gap of this size cannot be presented as mispricing without naming what would close it. *On the bull side:* quarterly utilisation and

Exhibit A12 Cheap on book because the return is poor

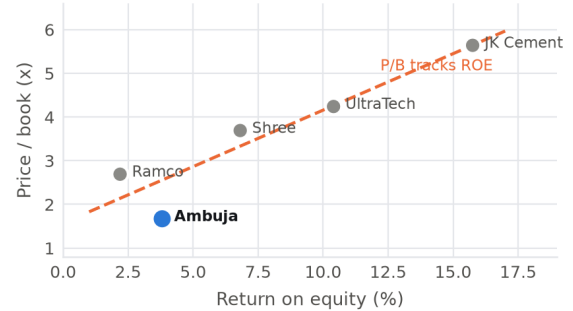


Exhibit A12. The most important exhibit in this section. Price to book tracks return on equity across the peer set; Ambuja sits at the bottom of both axes. Source: peer annual reports; authors' analysis.

Peer set, FY2025-26 / TTM June 2026

Company	EV/EB	P/E	P/B	ROE
Ambuja	17.0	43.9	1.67	3.8%
UltraTech	21.1	40.8	4.24	10.4%
Shree Cement	19.1	54.2	3.69	6.8%
JK Cement	19.7	35.8	5.64	15.7%
Ramco Cements	19.0	122.9	2.69	2.2%
Peer median	19.4	47.5	3.97	8.6%
Ambuja, DCF-implied	6.2			

Ambuja consolidated with NCI in EV; peers standalone. Source: company annual reports and disclosed market capitalisations.

The sector cannot be the benchmark

Our own model says UltraTech — the largest member of this peer median — is 53% overvalued. A median built from such companies cannot be used to argue that anything in the set is cheap. We are not claiming Ambuja is mispriced against its sector. We are claiming the sector is mispriced against the cash it generates, and that Ambuja is the member with the weakest returns.

Exhibit A10 Value per share: no cell reaches Rs 401

WACC	2%	3%	4%	5%	6%
9%	163	173	186	206	240
10%	125	129	136	144	158
11%	95	97	100	103	108
12%	72	72	73	74	75
13%	53	53	52	52	51

Exhibit A10. Live two-way grid recomputed from the forecast cash flows and the steady-state terminal formula. No combination of a defensible WACC and a terminal growth rate below it reaches Rs 401. Source: authors' model.

Exhibit A16 Indexed to the base case = 1.0

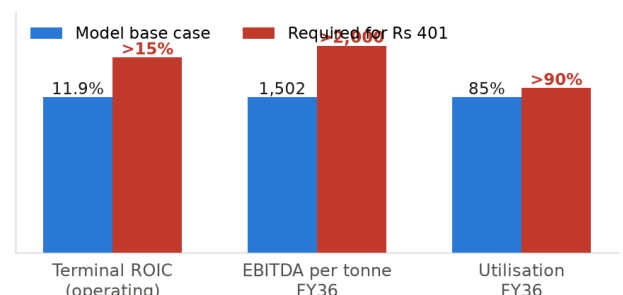


Exhibit A16. Indexed so that the model base case equals 1.0 on each driver. Source: authors' model.

EBITDA-per-tonne prints confirming that the Sanghi, Penna, Orient and ACC integrations are lifting blended unit economics; completion of the merger, which removes holding-company complexity and the minority leakage; and a cement price recovery. *On the bear side:* industry capacity additions outrunning demand and holding utilisation near 70%, which would keep return on capital pinned below its cost indefinitely.

The single most informative disclosure to watch is consolidated EBITDA per tonne, because it is the one number that separates this valuation from the market price.

On forecasting this company

A sell-side house modelled FY2025-26 EBITDA of Rs 8,477 crore in December 2025, nine months into the year. Ambuja reported Rs 6,539 crore — a 30% miss — on a revenue estimate accurate to within 2.7%. The entire error was margin. Treat any forecast of rapid margin recovery with that record in mind.

13 Risks and what would change our mind

13.1 Risks to the SELL

Integration delivers faster than modelled. If the Sanghi and Penna assets reach parent-level margins in three years rather than ten, the standalone margin path is too slow and the value rises materially.

A genuine pricing cycle. Our realisation assumption grows below inflation throughout. A sustained industry price recovery, which the sector has seen before, would break that assumption in the company's favour.

The merger unlocks more than the share count. If consolidation delivers real cost synergies rather than only removing minority leakage, the post-merger entity earns more than the sum we have valued.

Our beta is too low. We use a bottom-up beta of 0.908 against a regression beta of 1.151. We chose the lower figure, which *raises* the value. The risk runs the other way here.

13.2 Limitations we accept

Consolidated history is two years deep, so the return trend is asserted from two points. The depreciation base and the depreciation charge do not cover the same assets. The merger terms require re-sourcing from the scheme filing. And the implied terminal multiple sits far below anything cement has traded at, which we have taken a position on rather than resolved.

What would change our mind

Two consecutive years of consolidated ROIC including goodwill above 9%, accompanied by utilisation above 80% and EBITDA per tonne above Rs 1,200. That combination would demonstrate the crossing this valuation treats as an assumption, and would move the value toward the upper half of our scenario range.

Scenario view

Driver	Bear	Base	Bull
Utilisation by FY36	75%	85%	90%
EBITDA/t by FY36 (Rs)	1,150	1,502	1,850
Terminal ROIC	8.5%	11.9%	15.0%
Terminal growth	5.0%	6.99%	7.5%
Value per share (Rs)	~45	99	~210
Gap to Rs 400.90	−89%	−75%	−48%

Scenarios are tied to driver assumptions, not to arbitrary percentage shifts. Source: authors' model.

Even the bull case does not get there

On assumptions we would struggle to defend — 90% utilisation, Rs 1,850 per tonne, a 15% terminal return on capital — the value is roughly Rs 210, still 48% below the traded price.

Recommendation summary

Item	Value
Recommendation	SELL
Intrinsic value per share	Rs 99.4
Market price, 30 March 2026	Rs 400.90
Downside	−75.2%
Market capitalisation	Rs 99,095 cr
Model equity value	Rs 24,575 cr
WACC	11.36%
Terminal growth	6.99%
Explicit forecast horizon	10 years
Terminal value % of EV	72.3%
Implied terminal EV/EBITDA	4.65x
WACC implied by market price	8.60%

Source: authors' model; NSE close 30 March 2026.

Classification: the difficult company

Ambuja is the difficult-to-value name in this pair, and the reasons are specific: only two years of consolidated history, a restated prior year and a fifteen-month transition year, a reported tax line that is a net credit making the effective rate minus 71%, a merger in progress that changes the share base, and a capital structure in which a third of invested capital is goodwill. Each of those had to be handled explicitly before any return measure became meaningful.

Part II

UltraTech Cement Ltd

The easy-to-value name. Ten years of audited history, a clean tax line, one dominant product — and a price that requires a return on capital the company has not earned since FY2021-22.

UltraTech Cement Ltd

NSE: ULTRACEMCO | BSE: 532538

SELL

Value Rs 5,024 | Price Rs 10,745 | -53.2% | Standalone core, subsidiaries added

14 Investment case and recommendation

We initiate on UltraTech Cement with a **SELL** and an intrinsic value of Rs 5,024 per share against a traded price of Rs 10,745. As with Ambuja, five discounted cash flow methods reconcile exactly. Unlike Ambuja, this is not a company that destroys value: UltraTech earns above its cost of capital and economic value added is positive in every forecast year. The question is not whether the business creates value. It is whether it creates enough to justify 3.3 times invested capital and 21.1 times EBITDA.

14.1 The argument in three steps

The company buys growth with capital rather than earning it with price. Volume compounded at 12.5% a year over ten years while realisation managed 2.0% and fell 6.1% in FY2024-25. Revenue growth of 14.7% a year was substantially acquired, not organic.

The acquisitions dilute returns. Management's own disclosure puts core UltraTech assets at roughly Rs 966 of EBITDA per tonne, against Rs 386 for India Cements and Rs 755 for Kesoram. Return on invested capital fell from 14.5% in FY2021-22 to 10.8% in FY2025-26 — below our estimated cost of capital of 11.43%.

The forecast already assumes that reverses. Our model takes ROIC back up from 10.8% to 15.2% over five years, on management's own guided cost savings and a utilisation ramp. Even with that reversal fully credited, the value is Rs 5,024.

The discount rate is not the explanation

Solved backwards, the traded price of Rs 10,745 requires a weighted average cost of capital of about 9.2% against our 11.43%. For a company funded roughly 94% by equity, that implies an equity risk premium far below anything defensible for India. The gap is an operating-assumption gap, not a discount-rate gap.

14.2 Why this is the easy company

UltraTech publishes a ten-year standalone financial highlights table that ties both ways in every year: net worth plus loan funds plus leases plus deferred tax equals net fixed assets plus investments plus liquid investments plus net working capital. The reported effective tax rate of 26.1% is materially in line with the statutory 25.168%, so no migration path is needed. There is one dominant product, disclosed volume, disclosed capacity, and management guidance on capex and cost savings. Almost nothing had to be reconstructed.

15 Company profile: what it sells, where it operates, who owns it

15.1 The company

UltraTech Cement Ltd is the cement business of the Aditya Birla group and India's largest cement producer by capacity — and the largest outside China. It took its present form in 2004 when Grasim Industries acquired control of the cement business demerged from L&T, and it has grown through a sequence of large transactions since: the Jaypee assets, Century Textiles' cement business, and most recently

Exhibit U1 Football field: the DCF sits far below every alternative

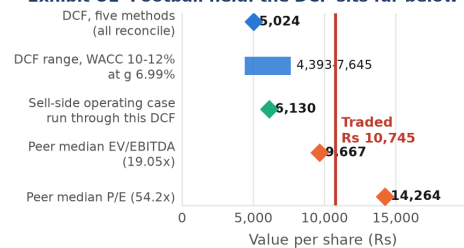


Exhibit U1. The self-side operating case is that house's own driver set — EBITDA per tonne rising 54% in three years — run through our discounted cash flow rather than through their exit multiple. Source: authors' model; peer annual reports; NSE close 30 March 2026.

Exhibit U4 A falling return, forecast to reverse

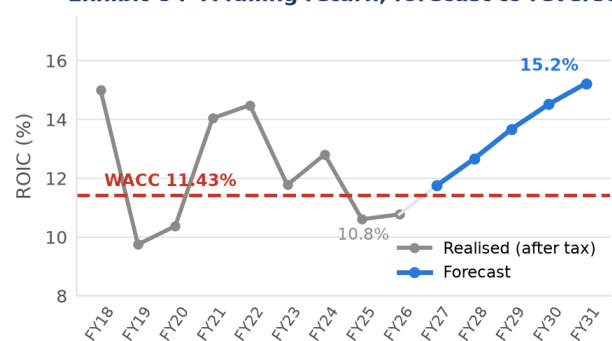


Exhibit U4. The decisive exhibit. Realised ROIC is recomputed after tax at the statutory rate on opening invested capital. The forecast assumes the four-year decline reverses and then some. Source: FY2025-26 integrated report, ten-year standalone highlights; authors' model.

Exhibit U5 UltraTech does create economic value

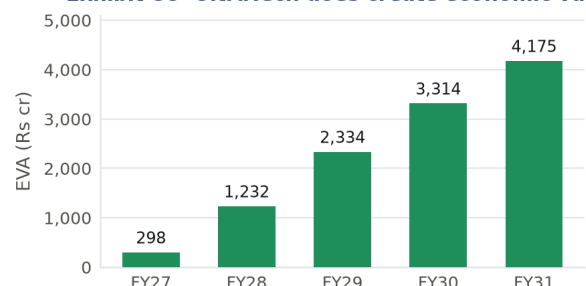


Exhibit U5. Unlike Ambuja, UltraTech's NOPAT covers its capital charge throughout. The company creates economic value; the question is whether it creates enough. Source: authors' model.

The India Cements and Kesoram's cement assets. Standalone grey cement sales were 140.75 million tonnes in FY2025-26 on revenue of Rs 82,170 crore, with consolidated capacity of roughly 192 MTPA and management guidance pointing to 218 MTPA and then 240–245 MTPA.

The company is run from Mumbai and is listed on both the NSE and the BSE. Its scale is genuine and is not in dispute in this report: the largest capacity base, the widest geographic spread in a freight-constrained industry, and the balance sheet to absorb distressed assets when they come to market.

Scale is the strength and the problem

UltraTech's growth record is one of the strongest in Indian industry — volume compounding at 12.5% a year for a decade. But volume was bought with capital rather than earned through price: realisation compounded at 2.0% over the same decade. The ten-year history section sets out what that did to the return on capital.

15.2 Products and brands

Grey cement under the UltraTech brand is the reported primary segment and the overwhelming majority of revenue: Ordinary Portland, Portland Pozzolana and Portland Slag Cement, with premium variants such as UltraTech Super and UltraTech Weather Plus carrying higher realisation. Alongside it sits **Birla White**, the white cement, wall putty and wall-care business, which is small in revenue terms but earns a materially higher margin than grey cement and gives the group a genuine branded consumer franchise. Ready-mix concrete and the UltraTech Building Solutions retail network complete the portfolio, the latter functioning as a distribution asset as much as a product line.

The relevant analytical point is that the premium and white-cement businesses are not large enough to change the group's economics. UltraTech is a grey cement company, and its value turns on tonnes and on EBITDA per tonne, which is why the forecast is built that way.

15.3 Board of directors

The board is chaired by **Kumar Mangalam Birla**, with **Rajashree Birla** also serving as a non-executive director on behalf of the promoter group. **K.C. Jhanwar** served as Managing Director from January 2020, with **Jayant Dua** elevated to Managing Director with effect from 1 April 2026 — a transition that falls immediately after this report's valuation date and is worth noting, because the integration programme the bull case depends on will be executed under new leadership. **Atul Daga** is Chief Financial Officer, and **Vivek Agrawal** is a Whole-Time Director and Chief Marketing Officer.

Sourcing note

Board and management composition is taken from the company's own Board of Directors and Management Team disclosures; the shareholding pattern is from the company's shareholding-pattern filing. Nothing in this section comes from a financial data aggregator. The one open item is the reported managing-director transition effective 1 April 2026, recorded in Appendix I.

15.4 Shareholders and shareholding pattern

UltraTech is controlled by the Aditya Birla group, principally through **Grasim Industries Ltd**, with the balance of the promoter holding spread across other group entities. The remainder is a large and liquid institutional and retail float; UltraTech is a Nifty 50 constituent and one of the most widely held industrial names in the Indian market.

At the June 2026 filing the promoter group held **59.33%**, public institutions 32.55%, public non-institutions 7.95% and non-promoter non-

Exhibit U15 Ownership and control at the valuation date

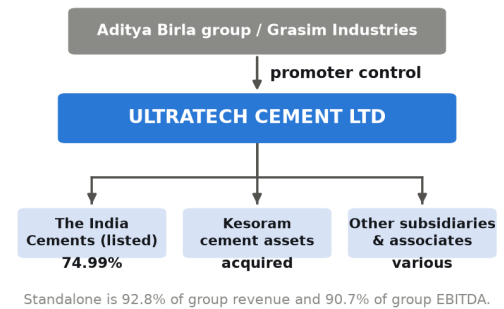
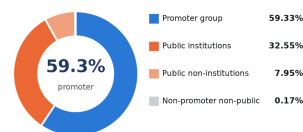


Exhibit U15. The India Cements remained separately listed at the valuation date. The subsidiary block it sits in is under 10% of group EBITDA, which is the quantitative justification for the standalone-core basis. Source: FY2025-26 integrated report, non-current investments note.

Exhibit U17 Shareholding pattern, June 2026



Promoter control stable and unpledged. Foreign ownership fell while domestic mutual-fund and insurance ownership rose. Source: UltraTech shareholding-pattern filing.

Exhibit U17. Promoter control is stable and unpledged, and the institutional float is large — UltraTech is a Nifty 50 constituent. June 2026 data show foreign ownership falling while domestic mutual-fund and insurance ownership rose. Source: UltraTech shareholding-pattern filing.

The company at a glance

Item	Value
Present form since	2004
Promoter group	Aditya Birla
Principal promoter entity	Grasim Industries
Registered office	Mumbai
Listings	NSE, BSE
Consolidated capacity (MTPA)	c.192
Guided capacity, FY29 (MTPA)	240–245
Standalone volume FY26 (Mn.T)	140.75
Standalone utilisation FY26	81.6%
Standalone revenue (Rs cr)	82,170
Standalone EBITDA (Rs cr)	15,439
EBITDA per tonne (Rs)	1,097
Shares outstanding (crore)	29.468
Market capitalisation (Rs cr)	316,633
Listed subsidiary	India Cements (74.99%)
Standalone % of group EBITDA	90.7%

Source: FY2025-26 Integrated and Sustainability Report; NSE close 30 March 2026.

Board metrics

Metric	Value
Directors on the board	10
of which independent	5
Independent directors	50%
Executive directors	2
Principal committees	6
Managing Director since	January 2020
Reported MD transition	1 April 2026

Source: UltraTech Board of Directors disclosures.

A leadership transition at the valuation date

The managing directorship changed hands on 1 April 2026, the day after this report's valuation date. The bull case rests on an integration programme — lifting India Cements from Rs 386 per tonne toward the Rs 966 the core assets earn — that will now be executed under new leadership. That is not a reason to change the numbers, but it is a reason to watch the first two quarterly EBITDA-per-tonne prints closely.

public holders 0.17%. Promoter shares are unpledged. Within the institutional block, June 2026 data show foreign ownership falling while domestic mutual-fund and insurance ownership increased — a rotation worth noting, because it means the marginal buyer of this stock has recently been domestic rather than global.

The register is analytically relevant here for the same reason as at Ambuja, and for one additional reason. The free float is deep and the stock is heavily covered, so the 53% gap this report identifies is not a pricing anomaly in a neglected security — it is a disagreement with a well-informed market about what a mature cement franchise earning roughly its cost of capital is worth. That is a stronger claim, and the sensitivity and catalysts section sets out the specific, testable disclosures that would settle it.

15.5 Operating footprint

The manufacturing base exceeds 200 MTPA of consolidated capacity across integrated plants, grinding units and bulk terminals, supported by more than 130 ready-mix concrete plants. National scale, limestone reserves and multimodal logistics give regional availability and procurement leverage that smaller producers cannot match in a freight-constrained industry.

Green power reached 43% of the energy mix against a stated ambition of 65%, and management guides roughly Rs 300 per tonne of cost saving over two to three years from green power, waste heat recovery, alternative fuels and lower-clinker products. Our forecast captures about two-thirds of that guided saving — deliberately below the company's own target, and well below the sell side.

Scale is real; the question is what was paid for it

Nothing in this section is in dispute. UltraTech has the largest capacity base, the widest geographic spread and the strongest distribution in Indian cement. The valuation question is not whether the franchise is good. It is whether a good franchise earning 10.8% on capital against an 11.43% cost of capital is worth 3.3 times the capital employed.

Board of directors

UltraTech Cement Ltd, as constituted at 31 March 2026. Source: UltraTech Board of Directors; company pages, FY2025-26.



Kumar Mangalam Birla
Chairman



Rajashree Birla
Non-executive Director



K. K. Maheshwari
Vice Chairman, Non-executive



K. C. Jhanwar
Managing Director



Vivek Agrawal
Whole-time Director & CMO



Anjani Kumar Agrawal
Independent Director



Vikas Balia
Independent Director



Vikram Bhalla
Independent Director



V. Chandrasekaran
Independent Director



Anita Ramachandran
Independent Director

Composition and coverage

The board combines promoter stewardship, operating leadership and independent expertise across finance, investment, governance, law, human capital and industrial operations. Five of the ten directors are independent. Principal committees cover audit, stakeholders, nomination and remuneration, corporate social responsibility, finance, and risk management and sustainability.

A leadership transition immediately after the valuation date

K. C. Jhanwar served as Managing Director from January 2020 and is shown here as the board stood at 31 March 2026. A transition to **Jayant Dua** as Managing Director with effect from 1 April 2026 was reported but could not be confirmed against a primary filing from this working environment; it is carried as an open item in Appendix I. Either way the point stands: the integration programme the bull case depends on will be executed under changed leadership, so the first two quarterly EBITDA-per-tonne prints matter more than usual.

Where independent challenge should bite

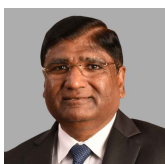
The board's most consequential decisions concern capital allocation across organic expansion, acquisitions and the newer building-materials adjacencies. Independent oversight matters most where integration assumptions, impairment testing, related-party governance and sustainability commitments intersect with long-duration investment.

The governance question at UltraTech is different from Ambuja's

At Ambuja the question is whether acquisition goodwill can ever earn its cost. At UltraTech the company *does* earn above its cost of capital, so the question is narrower: whether the board holds management to a return on the enlarged asset base rather than to absolute EBITDA growth. Reported ROIC fell from 14.5% in FY2021-22 to 10.8% in FY2025-26 while EBITDA rose — precisely the pattern a scale-focused scorecard would miss.

Senior management

The operating team. Source: UltraTech Management Team; company pages, FY2025-26.



K. C. Jhanwar
Managing Director



E. R. Raj Narayanan
Business Head & Chief Manufacturing Officer



Vivek Agrawal
Whole-time Director & Chief Marketing Officer



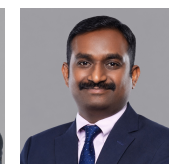
Atul Daga
Business Head & Chief Financial Officer



Chandrashekhar Chavan
Chief Human Resources Officer



Anand Laxshmivaran R.
Chief Digital & Information Officer



P. Ashok Kumar
Executive President & Chief Legal Officer



Ashish Dwivedi
CEO – Birla White

Execution priorities. Integrate India Cements and Kesoram, fill commissioned capacity, protect unit economics, convert the enlarged footprint into cash, and hold discipline across procurement, logistics, capex and working capital. The most useful management scorecard is EBITDA per tonne, utilisation, core cash conversion and ROIC.

Operating scorecard. Quarterly volume and EBITDA growth should be read alongside utilisation, EBITDA per tonne, capex per incremental tonne, inventory and receivable days, and ROIC. Those measures distinguish scale that creates value from scale that merely adds revenue and depreciable assets — which is the whole question at this price.

16 Margin stack, working capital and depreciation

The same three disclosures examined for Ambuja tell a materially better story at UltraTech, and the contrast is the most useful evidence in this report for why one company is the difficult name and the other the easy one.

16.1 The gain reached the operating line

Manufacturing gross margin rose from 57.7% to 58.4% and delivered gross margin improved two points to 36.8%. Unlike at Ambuja, the improvement was *not* absorbed by overhead: consolidated EBITDA margin expanded from 16.5% to 19.2% and EBIT margin reached 14.0%. Direct cost improvement and better absorption both reached the operating line.

16.2 Depreciation did not eat the gain

D&A increased 15.7% to Rs 4,644 crore, broadly in line with revenue growth. Intensity was stable at 5.25% of revenue and *fell* from 32.0% to 27.3% of EBITDA. The enlarged asset base did not dilute EBIT conversion in FY2025-26. Compare that with Ambuja, where D&A rose 55.4% against 15.1% revenue growth and consumed 54.4% of EBITDA.

16.3 Working capital improved on the right lines

Inventory days fell 5.6 and receivable days fell 3.4, more than offsetting a 1.4-day reduction in payable days. The closing-balance cash conversion cycle improved from 29.7 to 22.1 days and core trade-cycle working capital released about Rs 639 crore. This is a cleaner improvement than Ambuja's, which came mostly from stretching payables.

Why this does not change the recommendation

Everything above is genuinely good, and none of it closes the gap. UltraTech converts scale into operating margin competently; the problem is the price paid for the scale. Operating cash flow rose from Rs 10,673 crore to Rs 15,316 crore while purchases of property, plant and equipment rose only from Rs 9,129 crore to Rs 9,678 crore — so the business now covers its own expansion. It still does not earn enough on Rs 86,090 crore of invested capital to justify 3.3 times that figure.

17 Products and brands

UltraTech's portfolio runs from foundation materials to finishes, which management describes as a 360-degree strategy. It matters commercially and it matters much less to this valuation than tonnes and cost per tonne.

17.1 Cement and concrete

Ordinary Portland, Portland Pozzolana and Portland Slag cement serve housing, commercial and infrastructure demand under the UltraTech brand, with premium variants including UltraTech Super and Weather Plus. UltraTech is also India's largest ready-mix concrete producer, with a network of more than 130 plants and both conventional and value-added concrete offerings.

17.2 Birla White

White cement, wall putty, waterproofing, tile adhesives and grouts, gypsum plaster, primers and textured finishes extend the portfolio from structural construction into surface preparation and finishing. This is the group's genuine branded consumer franchise and it earns

Exhibit U18 At UltraTech the gain reached the operating line

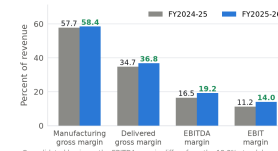


Exhibit U18. Consolidated basis, so the EBITDA margin differs from the 18.8% standalone figure used in the valuation. Same definitions as Exhibit A21. Source: FY2025-26 consolidated results. Consolidated basis, so the EBITDA margin differs from the 18.8% standalone figure used in the valuation. Definitions as in Exhibit A21. Source: FY2025-26 consolidated financial results.

Exhibit U19 A cleaner working-capital improvement



Exhibit U19. Closing-balance proxies on the same definitions used for Ambuja. Source: FY2025-26 consolidated results and balance sheet.

Balance sheet and cash flow bridge

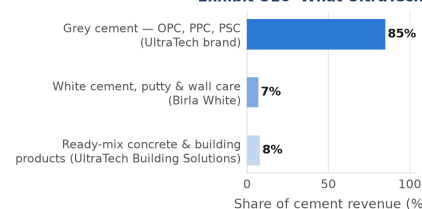
Rs crore	FY25	FY26
Revenue from operations	75,955	88,512
Cash operating cost	63,398	71,491
Inventory	9,563	9,694
Trade receivables	5,890	6,029
Trade payables	9,327	10,237
Core trade-cycle working capital	6,126	5,486
Cash flow from operations	10,673	15,316
Purchase of PPE	9,129	9,678
D&A	4,014	4,644
D&A % of revenue	5.28%	5.25%
D&A % of EBITDA	32.0%	27.3%

Consolidated. Source: FY2025-26 consolidated financial results and balance sheet.

What to watch

Whether delivered gross-margin gains survive normalisation in fuel cost and regional prices; whether inventory and receivable days stay lower as India Cements and Kesoram are fully consolidated; whether operating cash flow keeps covering expansion without a renewed leverage cycle; and whether the enlarged base lifts ROIC above the cost of capital rather than only raising absolute EBITDA.

Exhibit U16 What UltraTech sells



Split is indicative of the segment mix disclosed in the FY2025-26 report; grey cement is the reported primary segment.

Exhibit U16. Grey cement is the reported primary segment. The split shown is indicative of the disclosed segment mix. Source: FY2025-26 integrated report; UltraTech product portfolio; Birla White.

Operating footprint

Item	Value
Manufacturing capacity, consolidated	200+ MTPA
Ready-mix concrete plants	130+
Standalone grey cement volume FY26	140.75 Mn.T
Standalone capacity (derived)	172.5 Mn.T
Green power share	43%
Guided green power share	65%
Guided cost saving	Rs 300/tonne

Source: FY2025-26 results and company disclosures.

a materially higher margin than grey cement — but it is small relative to the whole.

17.3 Building solutions

UltraTech Building Products covers waterproofing, crack fillers, tile and marble systems, specialist plaster, repair products, industrial grouts and AAC blocks. UltraTech Building Solutions adds technical advice and retail access, functioning as a distribution asset as much as a product line.

The analytical weighting

The adjacencies are strategically sensible and commercially real. They are not large enough to change the economics of a business selling 140.75 million tonnes of grey cement. That is why the forecast is built on capacity times utilisation times EBITDA per tonne, and why the sensitivity analysis is run on those drivers rather than on product mix.

18 How the group is put together for valuation

UltraTech is India's largest cement producer and part of the Aditya Birla group. Standalone grey cement sales were 140.75 million tonnes on revenue of Rs 82,170 crore in FY2025-26, at an EBITDA of Rs 15,439 crore. The company holds 74.99% of the separately listed India Cements and has absorbed Kesoram's cement assets.

18.1 Standalone core with subsidiaries added

The operating forecast is built on the standalone entity because only the standalone series carries the audited ten-year history, the disclosed grey cement volume of 140.75 million tonnes and the capacity figures on which a capacity-times-utilisation forecast depends. Consolidated volume and consolidated capital work in progress are not separately disclosed. The subsidiary block is then carried explicitly: base-year subsidiary revenue of Rs 6,342 crore at a 24.9% margin, forecast alongside the core, with the consolidated asset base and the non-controlling interest both brought into the model.

The omission is small, and quantified

Standalone is 92.8% of group revenue and 90.7% of group EBITDA. Consolidated accounts carry Rs 7,909 crore of goodwill, which is 8.9% of the asset base against 34.2% at Ambuja. The contrast with Ambuja is one of degree rather than of kind, and saying so is more useful than asserting that the standalone basis is simply correct.

A disclosed inconsistency between the two models

UltraTech holds 74.99% of the listed India Cements and is modelled from a standalone core. Ambuja holds 50.05% of the listed ACC and is modelled consolidated. Two companies in a similar structural position are treated differently, and the reason is data availability rather than principle — the irony being that UltraTech's stake is the more controlling of the two. We state this rather than hide it. See Appendix A for the full treatment and its quantified effect.

18.2 An unresolved item in the bridge

The equity bridge adds investments in subsidiaries and others of Rs 6,740 crore. The FY2025-26 balance sheet reports Rs 12,541 crore under that heading, of which the India Cements stake is Rs 8,970 crore at carrying value. The two do not tie. Critically, India Cements' operations are already inside the forecast through the subsidiary block, so adding the stake at book on top would double-count

Strategic positioning, in the company's own terms

National scale, limestone reserves and multimodal logistics support regional availability and procurement leverage. The India Cements and Kesoram acquisitions accelerate southern and eastern market access but raise integration and return-on-capital requirements. Green power, waste heat recovery, alternative fuels and lower-clinker products are both cost and decarbonisation levers.

Exhibit U10 What the acquisitions actually earn

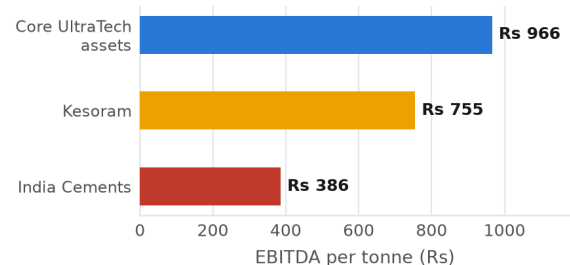


Exhibit U10. The acquisition drag, in management's own numbers. Closing the gap between Rs 386 and Rs 966 is the entire bull case. Source: management commentary relayed through broker research — flagged for re-sourcing from the earnings call transcript.

Standalone against consolidated, FY2025-26

Rs crore	S/A	Consol	Subs
Revenue	82,170	88,512	6,342
EBITDA	15,439	17,020	1,581
EBITDA margin	18.8%	19.2%	24.9%
Borrowings + leases	20,480	23,755	3,275
Goodwill	—	7,909	7,909
Non-controlling interest	—	4,089	4,089
S/A % of group revenue			92.8%
S/A % of group EBITDA			90.7%

The subsidiary column is derived as consolidated less standalone. Source: FY2025-26 integrated report, standalone and consolidated statements.

Exhibit U12 Leverage returns with the acquisitions

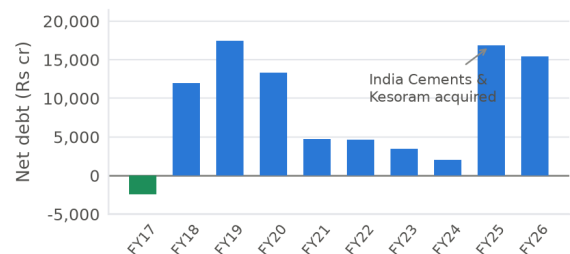


Exhibit U12. Net debt had been reduced to Rs 1,994 crore by FY2023-24 before the India Cements and Kesoram acquisitions returned it to Rs 15,462 crore. Source: FY2025-26 integrated report, ten-year standalone highlights.

it — an asset consistency violation. We have therefore left the bridge as modelled and flagged the reconciliation as an open item rather than adding Rs 197 per share on an assumption.

19 Industry context and competitive position

UltraTech is the share leader in a regional, freight-constrained commodity industry with roughly 6–7% volume demand growth. At about 141 million tonnes of standalone sales against industry production of 491.4 million tonnes, it accounts for roughly **29% of Indian cement output** — nearly twice Ambuja's share.

Its competitive position is genuinely strong: the largest capacity base, the widest geographic spread, limestone reserves, multimodal logistics and the balance sheet to absorb distressed assets when they come to market. In a business where cement cannot travel far economically, regional density is the moat, and UltraTech has more of it than anyone. None of that is in dispute here.

19.1 What is in dispute is the price

The industry has been adding capacity at least as fast as demand grows. Installed capacity is projected to reach roughly 850 MTPA by 2030, a 5.1% compound rate, against volume growth of 7–8%. Sector utilisation therefore improves only slowly and sits near 80%. In that environment scale buys resilience rather than pricing power, and acquisitions bought at full prices dilute returns before they improve them.

19.2 The cost side is where the leverage is

Because price is competitive, the operating lever that matters is cost per tonne. Management guides roughly Rs 300 per tonne of saving over two to three years from green power rising from 43% to 65% of the energy mix, waste heat recovery, alternative fuels and lower-clinker products. Our forecast captures about two-thirds of that. The same programme is the company's decarbonisation plan, which is why this report does not apply a separate ESG adjustment — doing so would count the same effect twice.

The reverse cross-check on the sector multiple

A 19.05x exit EV/EBITDA — the peer median — implies terminal growth of 9.8% against a WACC of 11.43% and nominal GDP of 10.76%. That is growth at roughly 91% of the whole economy in perpetuity, from a company whose realisation has compounded at 2.0% over ten years. The first figure in the reverse table that is arguable is an 8x exit multiple, which implies 6.8% growth.

19.3 Where the acquisitions fit

The India Cements and Kesoram transactions accelerate access to southern and eastern markets, which is the one part of the country where UltraTech's regional density was weakest. Strategically the logic is sound. Financially the test is narrow and measurable: those assets earn Rs 386 and Rs 755 of EBITDA per tonne against Rs 966 for the core. Closing that gap is the entire bull case, and it is the reason blended EBITDA per tonne is the single disclosure this report asks readers to watch.

20 Ten years of history: what actually happened

20.1 Volume compounded; price did not

The ten-year standalone series is the strongest evidence in this report, because it is audited, complete and published by the company itself. Grey cement volume rose from 48.87 to 140.75 million tonnes,



Exhibit U20. Industry production and the two companies' directional share of it. Sources: IBEF, Indian Cement Industry, May 2026; ICRA volume outlook; company reports.

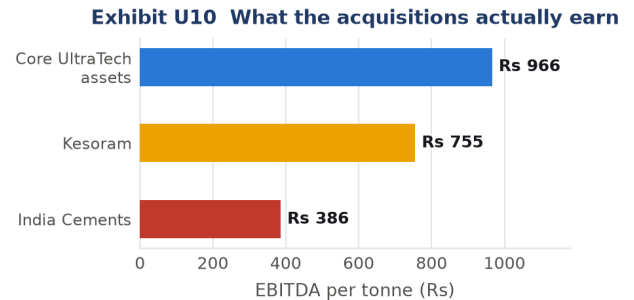


Exhibit U10. The acquisition drag, in management's own numbers. Closing the gap between Rs 386 and Rs 966 is the entire bull case. Source: management commentary relayed through broker research — flagged for re-sourcing from the earnings call transcript.

Competitive position

Measure	Value
Industry production FY26	491.4 Mn.T
UltraTech standalone volume	140.8 Mn.T
Share of output	c.29%
Ambuja share of output	c.15%
Consolidated capacity	200+ MTPA
Guided capacity FY29	240–245 MTPA
Ready-mix plants	130+
Sector utilisation	c.80%
2030 industry capacity projection	850 MTPA
2025–30 capacity CAGR	5.1%

Sources: IBEF, May 2026; company reports.

Scale is not the same as returns

UltraTech is roughly twice Ambuja's size in output and earns roughly three times its return on capital, which is why it is the better business. It also trades at 3.3 times invested capital against Ambuja's 1.66 times. On our terminal returns, UltraTech's price is about 1.6 times what its own return on capital justifies. Being the best house in the street does not make the street cheap.

a compound rate of 12.5%. Realisation per tonne rose from Rs 4,889 to Rs 5,838, a compound rate of 2.0%, and fell 6.1% in FY2024-25 alone. Revenue therefore compounded at 14.7% — but that growth was bought.

20.2 Margin did not follow scale

EBITDA margin was 20.8% in FY2016-17 and 18.8% in FY2025-26. The FY2020-21 peak of 25.4% was a fuel-cost windfall, not an operating achievement. Ten years of consolidation, scale and geographic expansion did not move the structural margin.

20.3 And the return fell

After-tax return on invested capital, measured on opening capital at the statutory rate, ran at 14.5% in FY2021-22 and 10.8% in FY2025-26. Invested capital rose from Rs 23,546 crore to Rs 86,090 crore over the decade. The company got much bigger and somewhat less profitable per rupee employed.

A live error in the source workbook

The valuation workbook computes historical NOPAT with a tax reference that resolves to an empty cell, so its published ten-year ROIC series is a *pre-tax* return — 14.4% for FY2025-26 rather than the correct after-tax 10.8%. Exhibit U4 uses the corrected after-tax series. The correction is listed in Appendix B and is applied in the accompanying corrected workbook.

Exhibit U6 Volume compounded; price did not

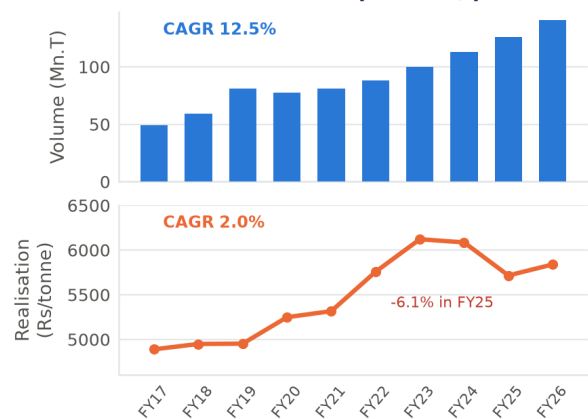


Exhibit U6. Two measures on two panels rather than one chart with two axes, because the scales are unrelated. Source: FY2025-26 integrated report, ten-year standalone financial highlights.

Exhibit U7 Revenue grew 14.7% a year; margin did not follow

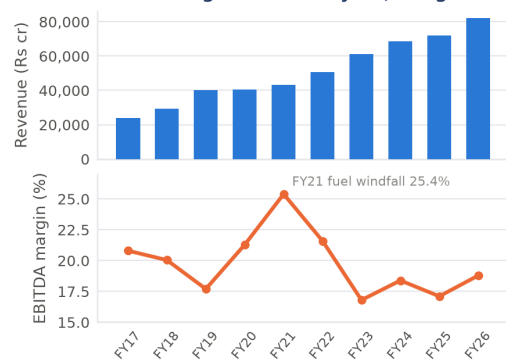


Exhibit U7. Revenue compounded at 14.7%; margin ended two points below where it started. Source: as above.

Ten-year standalone record

	FY17	FY21	FY24	FY26
Volume (Mn.T)	48.9	81.3	112.8	140.8
Revenue (Rs bn)	239	432	686	822
EBITDA (Rs bn)	49.7	110	126	154
EBITDA margin	20.8%	25.4%	18.4%	18.8%
Realisation (Rs/t)	4,889	5,315	6,085	5,838
Invested cap. (Rs bn)	235	470	653	861
ROIC after tax	—	14.0%	12.8%	10.8%
Net debt (Rs bn)	—24	47	20	155
Net worth (Rs bn)	239	434	591	747

Source: UltraTech Cement Ltd, Integrated and Sustainability Report 2025-26, Standalone Financial Highlights. FY2018-19 and FY2022-23 are shown as restated in the company's own table.

21 Forecast assumptions

The explicit period is five years. UltraTech is already at 82% utilisation with a clean, complete history and management guidance on both capex and cost savings; it is much closer to steady state than Ambuja, and a five-year window reaches it. The cost is that terminal value carries 78.7% of enterprise value, which is high, and we say so.

21.1 The forecast is built the way the industry is run

Volume is capacity times utilisation, not a growth rate, because UltraTech has already built the capacity and is filling roughly 82% of it — so several years of volume growth require little new capital. EBITDA is volume times EBITDA per tonne, the metric management actually steers by. Capex is an explicit input anchored to management's guidance of roughly Rs 10,000 crore a year.

Forecast drivers, FY2026-27 to FY2030-31

Driver	FY27	FY29	FY31
Capacity (Mn.T)	186	205	220
Utilisation	82.0%	84.5%	86.0%
Volume (Mn.T)	152.5	173.2	189.2
EBITDA/t growth	8.0%	4.0%	2.5%
EBITDA per tonne (Rs)	1,185	1,306	1,379
Realisation (Rs/t)	6,072	6,379	6,556
Subsidiary revenue growth	6.0%	5.0%	4.0%
Subsidiary margin	25.0%	25.4%	25.8%
Consolidated margin (output)	19.9%	20.8%	21.3%
Capex (Rs cr)	9,500	9,000	8,500
Depreciation, % opening	5.05%	5.05%	5.05%
NWC, % of revenue	−3.74%	−3.74%	−3.74%

Source: authors' assumptions anchored to management guidance and the FY2025-26 report.

The correction that mattered most in the build

An earlier version derived capex from capital intensity, scaling fixed assets to revenue. That charged the company a second time for capacity it had already paid for and understated value by roughly a third. Capex as an explicit input is both more defensible and considerably more generous to the company.

21.2 Deliberately below the sell side

Our EBITDA per tonne path rises from Rs 1,097 to Rs 1,379 over five years, capturing roughly two-thirds of management's guided Rs 300 per tonne cost saving. A sell-side house models Rs 1,423 by FY2027-28 — a 54% rise in three years. We take the slower path, and we test theirs in the scenario table.

Capex may be light, and the direction is against us

Total capex of Rs 45,000 crore less maintenance of about Rs 23,700 crore leaves growth capex of Rs 21,300 crore against capacity addition of 47.5 million tonnes, or roughly Rs 4,500 per tonne. Indian brownfield cement capacity typically costs Rs 5,000–7,000 per tonne. Correcting this would lower our value further, so the SELL is conservative — but the inconsistency is real and is recorded rather than hidden.

Exhibit U11 Growth comes from filling plants already built

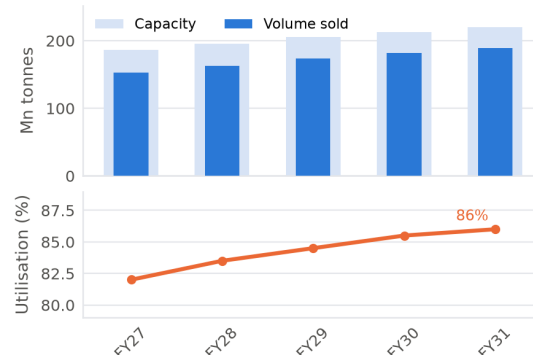


Exhibit U11. Peak forecast volume of 189.2 million tonnes sits inside capacity of 220 million tonnes at all times. Source: authors' model; announced expansion schedule.

Exhibit U14 Capex above depreciation throughout

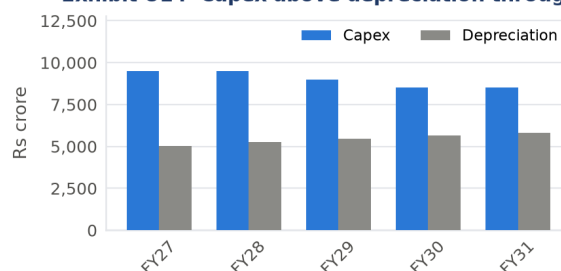


Exhibit U14. Capex runs above depreciation in every forecast year, so the asset base grows in real terms. Source: authors' model.

22 Cost of capital

The inputs are the same family as Ambuja's: an FBIL 10-year G-Sec par yield of 6.85% less the 1.87% sovereign default spread, giving a default-free rupee rate of 4.98%; Damodaran's January 2026 India equity risk premium of 7.08%; and the cash-corrected unlevered building-materials beta of 0.90. UltraTech carries meaningfully more debt than Ambuja — Rs 20,480 crore of borrowings and leases, a market debt-to-equity ratio of 6.47% — so the capital structure actually does something here.

22.1 Relevering under the stated debt policy

As with Ambuja, the model assumes constant D/V with continuous rebalancing, which is what permits the tax shield to be discounted at ρ . Under that policy the relever carries no tax term, giving a levered beta of 0.9582 and a cost of equity of 11.76%. The identity $\rho = WACC + K_{at}(D/V)$ ties exactly.

22.2 Circularity is disclosed, and it does not bite

The weights use market capitalisation — the very price this report is testing. That tension is disclosed rather than hidden, and the iterative alternative was solved. On the model's own equity value the debt-to-equity ratio rises to roughly 14.8%, which pulls WACC down by substituting cheaper debt into the weights while pushing the cost of equity up through a higher relevered beta. The two effects very nearly cancel and the converged value differs by about 1%.

Sensitivity to beta is the honest caveat

A one-point move in beta changes the cost of equity by roughly 700 basis points and moves the answer by about a third. Until beta is settled from a full exchange-sourced price history, the output should be read as a band rather than a point estimate. Our bottom-up 0.958 sits below the regression estimate of 1.086, which again means the conservative choice was not the one we

Cost of capital, UltraTech

Input	Value
10-year G-Sec par yield (FBIL, w/e 20-Mar-26)	6.85%
Less: India sovereign default spread	-1.87%
Risk-free rate	4.98%
India equity risk premium	7.08%
Unlevered beta, building materials	0.900
Market debt / equity	6.47%
Levered beta, $\beta_{L}(1 + D/E)$	0.9582
Cost of equity (CAPM)	11.76%
Pre-tax cost of debt	8.34%
Statutory tax rate (s.115BAA)	25.168%
Debt / enterprise value	6.08%
WACC	11.43%
Unlevered rate ρ	11.56%
Check: $\rho = WACC + K_{at}(D/V)$	ties
Regression beta (60 monthly obs.)	1.086

Source: RBI/FBIL; Damodaran January 2026; authors' analysis.

Circularity: market weights against iteration

	Mkt cap	Iterated
Debt / equity	6.47%	14.8%
Relevered beta	0.958	1.033
Cost of equity	11.76%	12.29%
WACC	11.43%	11.35%
Difference in value		~1.0%

Solved per SSRN 413240. Source: authors' analysis.

took.

23 Discounted cash flow valuation

Free cash flow to the firm is positive in every forecast year, rising from Rs 4,394 crore in FY2026-27 to Rs 14,282 crore in FY2030-31. The first year is depressed by a Rs 2,150 crore working capital outflow as the negative working capital position normalises against a larger revenue base.

Terminal growth is 6.99%, the same 65% of nominal GDP applied to Ambuja, so the two companies are treated consistently. Terminal reinvestment equals g times invested capital, which forces a genuine steady state and is what allows all five methods to reconcile.

The terminal return is the weak point of this model

Terminal ROIC comes out at 15.9% against a WACC of 11.43% — a permanent spread of 4.5 percentage points in perpetuity. That assumes supernormal returns forever and contradicts both competitive convergence and UltraTech's own record of a return that *fell* from 14.5% to 10.8% over four years. Golden Check 6 is recorded as a **FAIL**. Fading the terminal return to WACC plus 0.5% would take the value from Rs 5,024 to roughly Rs 4,560. We have not applied the fade in the headline, which means our valuation is if anything too generous and the SELL is conservative.

23.1 Result

Result

Enterprise value Rs 167,767 crore. Equity value Rs 148,047 crore. Value per share **Rs 5,024** against a traded Rs 10,745, a downside of 53.2%.

Exhibit U3 Free cash flow is positive throughout

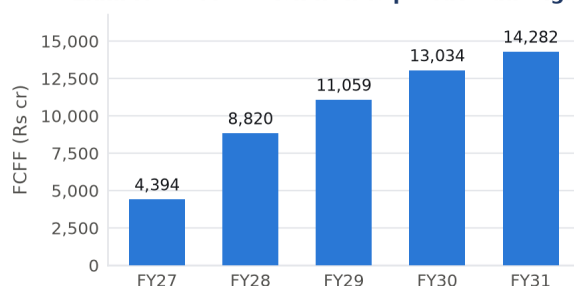


Exhibit U3. FCFF equals NOPAT plus depreciation less capex less the increase in net working capital. Source: authors' model.

Exhibit U2 From enterprise value to equity

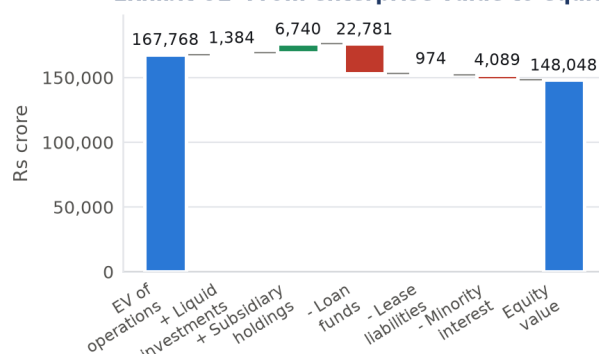


Exhibit U2. Loan funds, lease liabilities and the non-controlling interest are all deducted; liquid investments and subsidiary holdings are added. Source: authors' model; FY2025-26 balance sheet.

DCF summary

Line	Rs cr
PV of explicit FCFF, FY27–FY31	35,730
PV of terminal value	132,037
Enterprise value of operations	167,767
Add: liquid investments	1,384
Add: investments in subsidiaries & others	6,740
Less: loan funds	-22,781
Less: lease liabilities	-974
Less: non-controlling interest	-4,089
Equity value	148,047
Shares outstanding (crore)	29.468
Value per share (Rs)	5,024
Terminal value % of EV	78.7%
Implied terminal EV/EBITDA	7.52x

Source: authors' model.

Exhibit U13 Horizon length decides terminal dominance

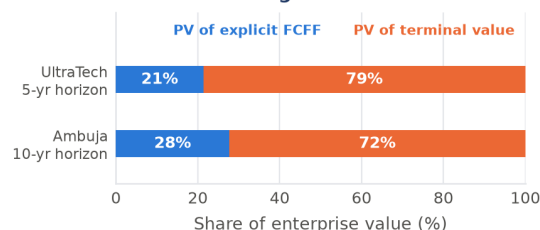


Exhibit U13. Horizon length, not optimism, explains most of the difference in terminal dominance between the two companies. Source: authors' models.

24 Method equivalence and consistency audit

All five methods return Rs 5,024 per share, with a maximum difference of zero to six decimal places. The model was independently reproduced in Python from the input assumptions, and the EVA identity — opening invested capital plus the present value of future economic value added — ties to the enterprise value exactly.

24.1 The five consistencies

Assumptions — PASS. Growth requires reinvestment throughout. Volume is capacity times utilisation. Capex is explicit and never held flat while sales grow. The terminal year is a forced steady state.

Risk — PASS. FCFF at WACC, CCF and APV at ρ , FCFE at K_e , EVA at WACC. Harris–Pringle constant rebalancing is stated and is now applied in the unlever, the relever and the shield alike.

Asset — PARTIAL. Other income is excluded from EBITDA so surplus cash and investments are non-operating and added back once, and the unlevered beta is cash-corrected for the same reason. *The gap:* the India Cements stake is carried at book, the disclosed investments total does not tie to the bridge, and the stake's operations are already inside the subsidiary block. That reconciliation is open.

Liability — PASS. Loan funds and leases are in the WACC weights and in the bridge. Deferred tax liabilities of Rs 8,506 crore are in neither the weights nor invested capital, consistently on both sides. Non-controlling interest is deducted.

Multiplier — PARTIAL. The implied terminal EV/EBITDA of 7.52x against peers at 19.0–19.7x does not bracket. The reverse cross-check sharpens the question rather than dissolving it, and we take a documented position.

25 Relative valuation

Against its peers, UltraTech is not obviously mispriced. At 21.1x EV/EBITDA it trades about 11% above the peer median of 19.05x; at 40.8x it is below the peer median P/E of 47.5x. On relative measures the company looks fully but not absurdly valued.

The discounted cash flow says something different: that UltraTech and its peers together look expensive against the cash they generate. Both statements can be true, because they answer different questions. Relative valuation asks whether UltraTech is priced consistently with other Indian cement companies. The DCF asks whether the cash flows justify the price at all.

The honest conclusion

UltraTech is reasonably valued relative to Indian cement, and expensive relative to the cash it generates. Anyone paying Rs 10,745 is underwriting a return on capital this company has not earned since FY2021–22.

25.1 Why we do not average the two

Averaging a DCF with a peer multiple would import into our answer the very assumption we have shown to be arithmetically impossible — that the sector can grow faster than the economy forever. The multiple is presented as an outcome to be explained, not as an input to be blended.

26 Sensitivity, scenarios and catalysts

The two-way grid opposite is rebuilt from the forecast cash flows. Across a WACC range of 9.5% to 13.5% and terminal growth from 4.0% to 7.0%, the value ranges from Rs 2,925 to Rs 9,281. No cell reaches Rs 10,745.

Method equivalence

Method	Rate	Rs/sh	Diff
FCFF	WACC	5,024	0
CCF	ρ	5,024	0
APV	ρ	5,024	0
FCFE	K_e	5,024	0
EVA	WACC	5,024	0
Status		RECONCILED	

Source: authors' model.

Mohanty Appendix 5A: the seven sanity checks

Check	Verdict
1. Revenue growth plausible vs GDP	PASS
2. Capacity supports projected volume	PASS
3. Capex sufficient to build capacity	PARTIAL
4. Margin expansion realism	PASS
5. Working capital sanity	PASS
6. Terminal ROIC fades toward WACC	FAIL
7. Terminal value dominance	PASS

Source: authors' assessment.

Both shortfalls run against the recommendation

Capex may be light relative to the capacity assumed, and terminal ROIC does not fade. Correcting either would *lower* the valuation. That is the direction we would rather be wrong in, and it is why we present the SELL as conservative rather than aggressive.

Exhibit U8 Rebuilt grid: no cell reaches Rs 10,745

	9.50%	5,681	6,348	7,395	8,181	9,281
	10.50%	4,674	5,060	5,617	6,000	6,493
WACC	11.43%	3,981	4,221	4,549	4,763	5,026
	12.50%	3,371	3,512	3,697	3,812	3,948
	13.50%	2,925	3,010	3,118	3,184	3,260
		4.0%	5.0%	6.0%	6.5%	7.0%
		Terminal growth				

Exhibit U8. Rebuilt two-way grid, live from the forecast cash flows. The boxed cell is the base case. The grid in the source workbook was found to discount depreciation instead of free cash flow and to build its terminal value off revenue instead of NOPAT; see Appendix B. Source: authors' model.

Exhibit U9 The most expensive name in the set

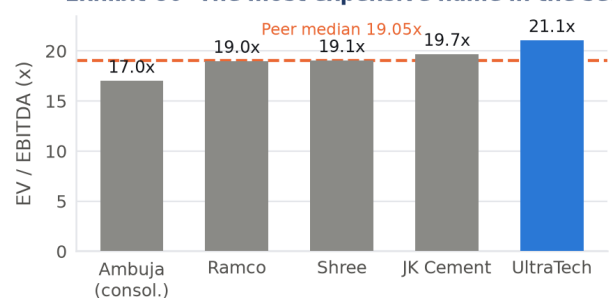


Exhibit U9. Source: peer annual reports and disclosed market capitalisations, trailing twelve months to June 2026.

Scenario view

Driver	Bear	Base	Sell-side
Utilisation by FY31	80%	86%	88%
EBITDA/t by FY31 (Rs)	1,200	1,379	1,600
Terminal ROIC	11.9%	15.9%	17.5%
Capex p.a. (Rs cr)	10,000	9,000	9,500
Value per share (Rs)	~3,900	5,024	~6,130
Gap to Rs 10,745	−64%	−53%	−43%

The sell-side column uses that house's own operating drivers, run through our DCF rather than their exit multiple. Source: authors' model.

26.1 Catalysts

Bull side: completion of the India Cements and Kesoram brand and cost integration, which management expects to lift those assets from Rs 386 and Rs 755 per tonne toward the Rs 966 the core already earns; quarterly EBITDA-per-tonne prints confirming the guided Rs 300 per tonne cost saving; the green power share rising from 42% toward 65%; and a cement price recovery after realisation fell 6.1% in FY2024-25. **Bear side:** industry capacity additions outrunning demand and holding utilisation near 80%, which would keep return on capital pinned at its cost.

The single most informative disclosure is blended EBITDA per tonne. If it reaches Rs 1,423 by FY2027-28 the gap narrows materially; if it stalls near Rs 1,200 the DCF view strengthens.

27 Risks and what would change our mind

Integration delivers on schedule. If India Cements and Kesoram reach Rs 900 per tonne within three years rather than gradually, blended unit economics improve much faster than modelled and the value rises materially.

A real pricing cycle. Our realisation path grows at half the EBITDA per tonne growth rate. Cement has seen sustained price recoveries before, and one would break that assumption in the company's favour.

Our terminal treatment is too harsh, not too generous. We flag the absent ROIC fade as a failure. A reader who believes UltraTech genuinely can sustain a 4.5-point spread over its cost of capital forever would regard our headline as correct and our self-criticism as excessive.

Beta. At a bottom-up 0.958 against a regression 1.086, we again chose the figure that raises the value.

What would change our mind

Two consecutive years of after-tax ROIC above 13% accompanied by blended EBITDA per tonne above Rs 1,300 and stable realisation. That would demonstrate that the acquisitions are being fixed rather than merely absorbed, and would move the value toward the upper end of our scenario range.

On the sell-side target

The Rs 15,000 target we tested against is not a discounted cash flow at all: it is 19 times EV/EBITDA applied to the average of two forecast years, so it assumes the multiple rather than testing it. The stock fell from Rs 12,370 at the date of that note to Rs 10,745 by 30 March 2026. We use that house's facts and reject its forecast.

Recommendation summary

Item	Value
Recommendation	SELL
Intrinsic value per share	Rs 5,024
Market price, 30 March 2026	Rs 10,745
Downside	—53.2%
Market capitalisation	Rs 316,633 cr
Model equity value	Rs 148,047 cr
WACC	11.43%
Terminal growth	6.99%
Explicit forecast horizon	5 years
Terminal value % of EV	78.7%
Implied terminal EV/EBITDA	7.52x
WACC implied by market price	9.17%
Value with terminal ROIC fade applied	Rs 4,560

Source: authors' model; NSE close 30 March 2026.

Classification: the easy company

UltraTech is the easy-to-value name: one dominant product, ten years of audited and internally consistent history, disclosed volume and capacity, an effective tax rate in line with statutory, and explicit management guidance on capex and cost savings. The modelling problems it posed were ordinary — choosing a horizon, handling circularity, deciding the terminal return — rather than structural.

Part III

Combined Appendix

Supporting data, workings and disclosures for both companies. Everything in Parts I and II is reproducible from what follows and from the two accompanying Excel models.

Appendix A

Comparative chapter

ONE EASY, ONE DIFFICULT

Value Ambuja Rs 99.4 | Price UltraTech Rs 5,024 | Both SELL | 31 March 2026

A Comparative chapter: one easy, one difficult

The course pairs an easy-to-value company with a difficult one. UltraTech is the easy name and Ambuja the difficult one, and the distinction is not about size or quality but about how much had to be reconstructed before any return measure became meaningful.

A.1 What made UltraTech easy

A ten-year audited standalone history that ties both ways in every year. Disclosed grey cement volume and capacity, which allow a capacity-times-utilisation forecast rather than an assumed growth rate. A reported effective tax rate of 26.1% against a statutory 25.168%, so no migration path is required. Explicit management guidance on capex and on a Rs 300 per tonne cost saving. One dominant product. The modelling problems were ordinary ones: choosing a horizon, handling circularity, and deciding what the terminal return should be.

A.2 What made Ambuja difficult

Five distinct problems, each of which had to be solved before the model could produce a number worth reading.

Two years of consolidated history. The annual report provides FY2025-26 and a restated FY2024-25. Earlier consolidated years exist only in broker research. A return trend asserted from two points is thin, and the ten-year explicit forecast rests on a two-point base.

A restated year and a fifteen-month year. FY2024-25 was restated for the Sanghi and Penna amalgamation, and the transition year to March 2023 covered fifteen months. Any multi-year growth rate taken off the reported series without adjustment is wrong.

A tax line that is a net credit. Reported tax was a credit of Rs 2,338 crore, so reported profit exceeds pre-tax profit and the effective rate is minus 71%. Every return in the report had to be recomputed at the statutory rate, and the credit decomposed into three drivers with different economics.

A merger in progress. At the valuation date the structure was a parent with listed subsidiaries; afterwards it is one entity with a 13.7% larger share count. Both bases are shown.

A capital base that is one-third goodwill. Rs 22,979 crore of goodwill and intangibles, which must sit inside invested capital for the return measure but must be excluded from terminal reinvestment.

A.3 How the five consistencies were preserved in each

In both models the same debt policy — constant D/V with continuous rebalancing — is applied in the unlever, the relever, the discounting of the tax shield and the construction of the net borrowing line, and in both the identity $\rho = WACC + K_{at}(D/V)$ ties exactly. In both, every liability included in the cost of capital is subtracted in the bridge and none is subtracted twice. Both carry a PARTIAL on asset consistency and a PARTIAL on multiplier consistency, for different reasons: Ambuja's depreciation base does not match its depreciation charge, while UltraTech's India Cements stake has an unreconciled treatment.

Exhibit C1 Both forecasts assume returns improve

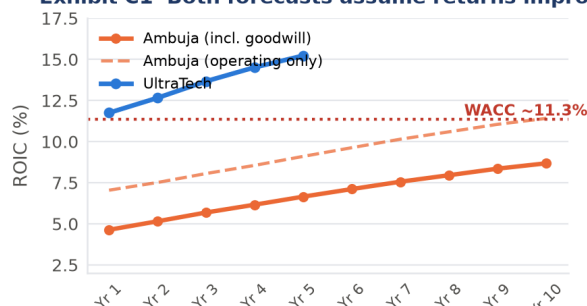


Exhibit C1. Both forecasts assume returns improve. Ambuja's never crosses the cost of capital on the goodwill-inclusive measure; UltraTech's starts above it. Source: authors' models.

Exhibit C3 How much of the capital base was bought

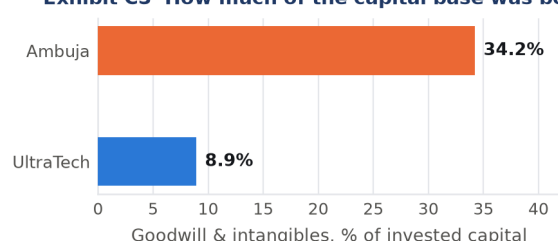


Exhibit C3. The structural difference between the two companies in one number. Source: FY2025-26 annual reports.

Exhibit C4 Both names screen expensive on cash flow

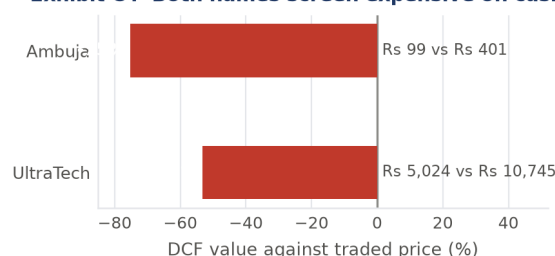


Exhibit C4. Source: authors' models; NSE closes 30 March 2026.

The two companies side by side

	Ambuja	UltraTech
Classification	Difficult	Easy
Years of usable history	2	10
Explicit forecast horizon	10 yr	5 yr
Basis	Consol.	S/A core
Volume FY26 (Mn.T)	74.0	140.8
Utilisation FY26	67.9%	81.6%
EBITDA per tonne (Rs)	886	1,097
ROIC FY26, incl. goodwill	3.3%	10.8%
Goodwill % of invested capital	34.2%	8.9%
WACC	11.36%	11.43%
Terminal growth	6.99%	6.99%
Terminal ROIC	11.9%	15.9%
Terminal value % of EV	72.3%	78.7%
Implied terminal EV/EBITDA	4.65x	7.52x
Traded EV/EBITDA	17.0x	21.1x
Price / book	1.67x	4.24x
Return on equity	3.8%	10.4%
Value per share (Rs)	99.4	5,024
Market price (Rs)	400.90	10,745
Downside	-75.2%	-53.2%

Ambuja consolidated; UltraTech standalone core with subsidiaries added. Source: authors' models.

A.4 Why two SELLS are consistent rather than contradictory

The obvious objection is that Ambuja trades *below* the peer median on EV/EBITDA while UltraTech trades *above* it, so they cannot both be expensive. The steady-state identity resolves it. In a steady state, enterprise value over invested capital equals $(\text{ROIC} - g)/(\text{WACC} - g)$. Applying it to each company's own terminal return gives a justified EV/IC of 2.02x for UltraTech and 1.13x for Ambuja. At traded prices the actual figures are 3.31x and 1.66x, with invested capital measured including goodwill for both. So UltraTech's price is about 1.6 times what its own terminal return justifies, and Ambuja's about 1.5 times — and Ambuja's terminal return is itself the more speculative of the two, because it requires a crossing the company has never achieved.

The claim we are making

We are not claiming Ambuja is mispriced against its sector. We are claiming the sector is mispriced against the cash it generates, and that Ambuja is the member with the weakest returns. On today's return on capital, Ambuja's justified multiple of invested capital is *negative*: at a 3.3% return and 7.0% growth every rupee reinvested destroys value, so no positive multiple of invested capital is warranted at all.

A.5 The known inconsistency between the two models

UltraTech holds 74.99% of the listed India Cements and is modelled from a standalone core with the subsidiary block carried explicitly. Ambuja holds 50.05% of the listed ACC and is modelled consolidated. The reason is data availability rather than principle: UltraTech publishes a ten-year standalone history and no comparable consolidated one, while Ambuja's consolidated statements were available and its standalone accounts exclude more than a third of the business. The irony is that UltraTech's stake is the more controlling of the two.

The right resolution before submission is to consolidate both or to value both by sum of the parts. Until that is done this is a disclosed weakness rather than a hidden one, and its effect is quantified: UltraTech's omitted subsidiary block is under 10% of group EBITDA, against 55% at Ambuja.

Exhibit C2 What the price pays vs what the return justifies

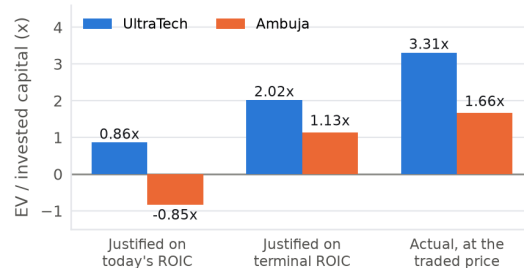


Exhibit C2. The steady-state identity $EV/IC = (\text{ROIC} - g)/(\text{WACC} - g)$ evaluated on each company's own numbers. Ambuja's justified multiple on today's return is negative because its return sits below its growth rate. Source: authors' models.

Exhibit C5 The multiplier-consistency gap, both names

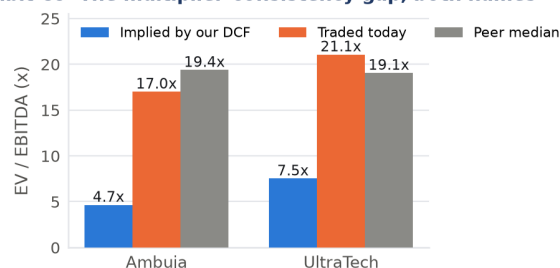


Exhibit C5. The multiplier-consistency gap for both names. In each case the multiple our model implies is far below both the traded and the peer multiple, and in each case we take a documented position rather than adopt the peer figure. Source: authors' models; peer annual reports.

Exhibit C6 Consistency and sanity checks, as recorded

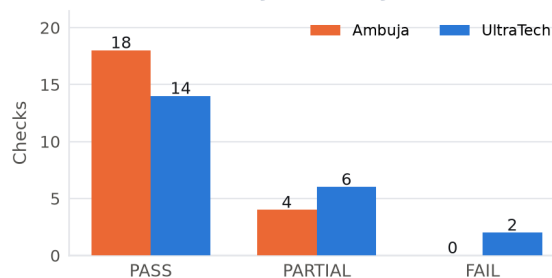


Exhibit C6. The five consistencies plus the ten-point audit checklist plus the seven Appendix 5A sanity checks, as recorded for each company. Source: authors' assessment.

B Model audit log and corrections applied

The models supplied for this report were audited independently: both were rebuilt from their input assumptions in Python, and every output was compared cell for cell. The rebuild reproduced Ambuja's published value to the paisa and UltraTech's to within 2.5 paise, and reproduced Ambuja's sensitivity grid exactly. That agreement is what gave the discrepancies below their weight — where the rebuild and the workbook differ, the workbook contains an error.

#	Where	Severity	Finding	Action taken
1	UTCL Sensitivity grid	HIGH	The two-way grid discounts P&L row 17 (depreciation) instead of row 24 (FCFF), builds its terminal value off row 14 (revenue) instead of row 21 (NOPAT), and omits the non-controlling interest from the bridge. It prints Rs 27,314–117,876 per share against a base case of Rs 5,148.	Rebuilt. Exhibit U8 is the corrected grid. Fixed in the corrected workbook.
2	UTCL Source-Data NOPAT	HIGH	Historical NOPAT is computed as $EBIT \times (1 - \text{Assumptions}C4)$, but the tax rate lives in B4; C4 is empty, so NOPAT equals EBIT and the published ten-year ROIC series is pre-tax.	Corrected to B4. Exhibit U4 uses the after-tax series (FY26: 10.8%, not 14.4%).
3	Both, beta relever	HIGH	Both workbooks state Harris–Pringle constant rebalancing and discount the tax shield at ρ , but relever beta with the fixed-debt Hamada formula. Ambuja's formula additionally carries a sign error, computing $(1+t)$ where even Hamada needs $(1-t)$.	Relevered as $\beta_U(1+D/E)$ throughout, consistent with the stated debt policy. Effect: Ambuja Rs 98.85 → Rs 99.42; UltraTech Rs 5,148 → Rs 5,024.
4	AMB Source-Data	MED	C32 (EBIT) is =C29–C7 where C29 is a blank label row, so EBIT prints –3,570 instead of 2,989. C34 (effective tax rate) references the same blank cell and prints 100%.	Repointed to C31 and C33. Display-only cells; no valuation effect.
5	AMB Terminal	MED	B21, the implied exit EV/EBITDA, is =B19/B20 where B19 is empty, so it prints 0.	Repointed to B17. Prints 4.65x, matching the FCFF sheet.
6	AMB Relative Valuation	MED	C48 hardcodes a DCF value of Rs 114.87 that no longer matches the live model, and the DCF-implied EV/EBITDA in C54 is computed from it.	Replaced with a live link to the FCFF sheet.
7	Both, narrative text	MED	Substantial prose in both workbooks is stale relative to the live cells: Ambuja's Summary conclusion cites Rs 122 and Rs 151 against live values of Rs 98.85 and Rs 131.42, a WACC of 11.03% against 11.37%, and a sensitivity range of Rs 116–134 against a live Rs 95–108; its Dashboard cites a terminal growth of 5.0% at 46.46% of nominal GDP against a live 6.99% at 65%. UltraTech's Summary cites Rs 4,750 and a 5% terminal growth; its Dashboard cites Rs 4,747.56.	All narrative in this report is written from the live cells. Workbook prose refreshed in the corrected versions.
8	UTCL terminal fade switch	MED	The audit log records Golden Check 6 as "FIXED ... switched ON by default," but the switch ships at 0 (off) and the Dashboard correctly records the check as a FAIL. The two statements contradict each other.	Reported as shipped: fade off, check FAILs. The faded value of Rs 4,560 is disclosed in Part II.
9	UTCL India Cements	MED	The bridge adds Rs 6,739.51 crore of investments. The balance sheet reports Rs 12,541 crore, of which India Cements is Rs 8,970 crore; the Entity Build sheet derives "other investments" as Rs 3,570.83 crore. None of the three tie. India Cements' operations are also already inside the forecast's subsidiary block.	Left as modelled and flagged. Adding the stake on top would double-count roughly Rs 197 per share. Recorded as an open asset-consistency item.
10	AMB Audit Log, Entity Build, Dashboard	LOW	The audit-log block, the tie-out check and the seven Golden Checks are each duplicated five times on their sheets.	De-duplicated in the corrected workbook.
11	AMB depreciation base	MED	The model charges depreciation at 8.0% of opening <i>operating</i> fixed assets while holding the Rs 9,433 crore intangible balance flat, but historical D&A includes amortisation of those intangibles. Previously recorded as unquantified.	QUANTIFIED, NOT FIXED. Note 49 discloses the split: intangible amortisation of Rs 607 crore in FY2025-26 against Rs 257 crore in FY2024-25. Modelling it explicitly would reduce forecast NOPAT and LOWER the valuation. Recorded on the Corrections sheet; the asset-consistency verdict stays PARTIAL.

Correction bridge: Ambuja

Step	Rs/share
As received (workbook)	98.85
Hamada relever with correct $(1-t)$	99.99
Harris–Pringle relever, $\beta_U(1+D/E)$	99.42
Items 4, 5, 6, 10 (display and staleness)	no effect
Reported in this document	99.42

Source: authors' analysis.

Correction bridge: UltraTech

Step	Rs/share
As received (workbook)	5,148.18
Items 1, 2 (grid and historical ROIC)	no effect on DCF
Harris–Pringle relever, $\beta_U(1+D/E)$	5,024.02
Memo: with terminal ROIC fade applied	4,560
Reported in this document	5,024.02

Source: authors' analysis.

The recommendation does not turn on any of this

Every correction above is immaterial to the conclusion. The largest moves Ambuja by 0.6% and UltraTech by 2.4%, against downside of 75% and 53% respectively. They are reported in full because a valuation that cannot survive its own audit is not worth presenting, not because they change the answer.

C The five consistencies, side by side

#	Consistency	AMB	Ambuja: evidence and gap	UTCL	UltraTech: evidence and gap
1	Assumptions	PASS	Volume is capacity $\times$ utilisation, so growth is tied to physical assets. Capex is an explicit input anchored to the expansion plan. Terminal year forced to steady state with reinvestment $= g \times$ operating invested capital.	PASS	Same construction. Growth requires reinvestment throughout; capex is explicit and anchored to guidance; terminal year is a forced steady state.
2	Risk	PASS	FCFF at WACC; CCF and APV at ρ ; FCFE at K_e ; EVA at WACC. Constant D/V rebalancing applied in unlever, relever and shield. $\rho = WACC + K_{dt}(D/V)$ ties.	PASS	Identical treatment. At a 6.1% D/V the policy choice actually matters here, and it is applied consistently.
3	Asset	PARTIAL	Other income excluded from EBITDA; cash non-operating and added back once; cash-corrected beta. Gap: depreciation charged at 8% of operating fixed assets while the historical charge includes Rs 607 cr of amortisation on a Rs 9,433 cr intangible balance the model holds flat. Now quantified from Note 49; correcting it would lower the value.	PARTIAL	Same treatment of cash and beta. Gap: the India Cements stake is at book, the investments total does not tie to the bridge, and the stake's operations are already inside the subsidiary block.
4	Liability	PASS	Borrowings and leases in the weights and in the bridge. Deferred tax in neither the weights nor invested capital, but deducted in the bridge. NCI deducted (worth Rs 51/share).	PASS	Loan funds and leases in both. Deferred tax of Rs 8,506 cr in neither, consistently on both sides. NCI of Rs 4,089 cr deducted.
5	Multiplier	PARTIAL	Implied terminal EV/EBITDA 4.65x against a peer median of 19.4x. Peer multiple solved back implies g of 10.99%, above nominal GDP of 10.76%. Position taken; gap real.	PARTIAL	Implied 7.52x against 19.05x. Peer multiple implies g of 9.8%, or 91% of nominal GDP in perpetuity. Position taken; gap real.

C.2 The ten-point audit checklist

#	Check	AMB	UTCL	Note
1	Five methods reconcile within 0.5%	PASS	PASS	Both reconcile to six decimal places, and both were reproduced independently.
2	WACC recomputes; market-value weights; circularity handled	PASS	PASS	Ambuja: immaterial at 0.87% D/E. UltraTech: iterated per SSRN 413240, 1.0% difference.
3	Debt grows at g where constant D/V assumed	PASS	PASS	Debt set to $D/V \times EV$ at every date; net new borrowing line visible on the FCFE sheet.
4	Cash and investments: one treatment throughout	PASS	PARTIAL	UltraTech's India Cements treatment is the open item.
5	Every liability in WACC subtracted in the bridge	PASS	PASS	Verified line by line in both.
6	Terminal: $g < WACC$, built multiplicatively, reinvestment $= g/ROIC$	PASS	PARTIAL	g built as $(1 + 6.5\%)(1 + 4.0\%) - 1$ taken at 65% in both. UltraTech's terminal ROIC does not fade.
7	Tax: marginal statutory rate	PASS	PASS	25.168% under s.115BAA in both. Ambuja's reported rate is unusable; UltraTech's 26.1% is in line.
8	No DDT on post-FY2020 flows	PASS	PASS	None applied. DDT abolished with effect from FY2020-21.
9	Every input traces to the source log	PARTIAL	PARTIAL	Open items: Ambuja's merger terms; UltraTech's capacity, utilisation and capex guidance, and its derived standalone capacity of 172.5 Mn.T.
10	Sensitivity tables live-linked	PASS	FAIL	Ambuja's grid is correct and live. UltraTech's was found broken (item B1) and has been rebuilt.

D Cost of capital workings, both companies

Shared inputs

Input	Value
10-yr G-Sec par yield, w/e 20-Mar-26	6.85%
India sovereign default spread	1.87%
Risk-free rate, default-free rupee	4.98%
India equity risk premium	7.08%
of which mature market	4.23%
of which India country risk	2.85%
Unlevered beta, building materials	0.900
number of firms in the sample	469
Statutory tax rate, s.115BAA	25.168%
Long-run real GDP growth	6.50%
Long-run inflation (RBI CPI target)	4.00%
Nominal GDP, $(1 + r)(1 + i) - 1$	10.76%
Terminal g as % of nominal GDP	65.0%
Terminal growth rate	6.994%

Source: RBI/FBIL Ratios and Rates release 27-Mar-2026; Damodaran, NYU Stern, January 2026.

Company-specific

	Ambuja	UltraTech
Borrowings + leases (Rs cr)	866	20,480
Market capitalisation (Rs cr)	99,095	316,633
Market debt / equity	0.87%	6.47%
Debt / enterprise value	0.87%	6.08%
Levered beta $\beta_U(1 + D/E)$	0.9079	0.9582
Cost of equity, CAPM	11.41%	11.76%
Pre-tax cost of debt	8.00%	8.34%
After-tax cost of debt	5.99%	6.24%
WACC	11.36%	11.43%
Unlevered rate ρ	11.38%	11.56%
Regression beta, 60 monthly obs.	1.151	1.086
R^2 of the regression	0.267	n/d
WACC implied by market price	8.60%	9.17%

Harris–Pringle Case 2 applied throughout. Source: company balance sheets and disclosed market capitalisations.

E Spread financial statements

Ambuja: consolidated, as reported

Rs crore	FY25R	FY26
Revenue from operations	33,989	40,446
Government grants	1,347	210
Revenue including grants	35,336	40,656
Other income	2,654	834
Finance costs	216	224
Depreciation and amortisation	2,297	3,570
PBT before exceptionals	6,125	3,599
Exceptional items	21	301
Profit before tax	6,104	3,299
Profit, owners of parent	4,303	4,728
Profit, non-controlling interest	991	909
EBITDA, uniform definition	5,984	6,559
Property, plant and equipment	25,049	33,801
Right-of-use assets	1,465	1,483
Capital work in progress	9,793	9,085
Goodwill	10,943	13,546
Other intangible assets	5,309	9,433
Equity, owners	53,579	59,347
Non-controlling interest	10,368	12,499
Borrowings, non-current	14	45
Borrowings, current	12	8
Lease liabilities	762	813
Cash and equivalents	5,043	892
Other bank balances	1,129	67
Current investments	1,822	0
Deferred tax liabilities, net	2,433	3,466

Source: FY2025-26 Integrated Annual Report, consolidated statements. FY2024-25 is the company's restated figure.

Capital employed ties both ways in every one of the ten years: net worth plus loan funds plus leases plus deferred tax equals net fixed assets plus investments plus liquid investments plus net working capital.

UltraTech: standalone ten-year highlights

Rs crore	FY17	FY20	FY23R	FY25	FY26
Volume (Mn.T)	48.9	77.5	100.1	125.8	140.8
Revenue	23,891	40,649	61,237	71,895	82,170
Operating expenses	18,922	31,997	50,952	59,599	66,730
EBITDA	4,969	8,652	10,286	12,296	15,439
Other income	660	727	505	693	376
Depreciation	1,268	2,455	2,773	3,739	4,055
EBIT	4,361	6,924	8,018	9,250	11,761
Interest	571	1,704	756	1,465	1,630
Profit before tax	3,790	5,220	7,262	7,785	10,131
Tax expense	1,148	–236	2,310	1,504	2,622
Net profit	2,628	5,456	4,951	6,193	7,405
Net fixed assets	24,387	49,486	63,077	83,764	89,161
Investments in subs	746	5,990	3,187	12,999	12,541
Liquid investments	8,663	5,882	6,246	3,504	5,018
Net working capital	–841	190	–3,140	–2,031	–3,071
Net worth	23,941	38,296	53,408	69,678	74,663
Loan funds	6,240	18,282	8,750	19,460	19,617
Lease liabilities	0	893	953	901	863
Deferred tax liabilities	2,774	4,077	6,258	8,198	8,506
Capital employed	32,955	61,548	69,369	98,236	103,649

Source: FY2025-26 Integrated and Sustainability Report, Standalone Financial Highlights. R = restated by the company.

F Forecast driver tables

F.1 Ambuja Cements: ten-year explicit forecast

Rs crore unless stated	FY27	FY28	FY29	FY30	FY31	FY32	FY33	FY34	FY35	FY36
Capacity (Mn.T)	112	116	119	121	123	125	127	129	131	133
Utilisation	70.0%	72.5%	75.0%	77.5%	79.5%	81.0%	82.5%	83.5%	84.5%	85.0%
Volume (Mn.T)	78.4	84.1	89.2	93.8	97.8	101.2	104.8	107.7	110.7	113.0
Realisation (Rs/t)	5,758	5,988	6,180	6,328	6,455	6,558	6,650	6,729	6,810	6,892
Revenue	45,141	50,359	55,153	59,340	63,116	66,398	69,671	72,486	75,385	77,913
EBITDA	7,710	9,061	10,357	11,513	12,599	13,559	14,498	15,366	16,227	16,985
EBITDA margin	17.1%	18.0%	18.8%	19.4%	20.0%	20.4%	20.8%	21.2%	21.5%	21.8%
EBITDA/tonne (Rs)	983	1,077	1,160	1,228	1,288	1,339	1,384	1,427	1,466	1,502
Depreciation	3,550	4,026	4,424	4,750	5,010	5,209	5,392	5,561	5,716	5,859
EBIT	4,161	5,035	5,934	6,763	7,589	8,350	9,106	9,805	10,511	11,126
NOPAT	3,114	3,768	4,440	5,061	5,679	6,248	6,814	7,337	7,866	8,326
Capex	9,500	9,000	8,500	8,000	7,500	7,500	7,500	7,500	7,500	7,500
Δ working capital	-14	-18	-16	-14	-13	-11	-11	-10	-10	-9
FCFF	-2,823	-1,189	380	1,825	3,202	3,968	4,718	5,407	6,092	6,693
Opening invested cap.	67,208	73,145	78,101	82,161	85,398	87,875	90,155	92,252	94,181	95,956
ROIC incl. goodwill	4.6%	5.2%	5.7%	6.2%	6.7%	7.1%	7.6%	8.0%	8.4%	8.7%
ROIC operating only	7.0%	7.5%	8.1%	8.6%	9.1%	9.6%	10.1%	10.6%	11.0%	11.4%
EVA	-1,911	-1,931	-1,822	-1,662	-1,412	-1,124	-817	-533	-223	35

Consolidated. Volume is capacity times utilisation. Revenue is volume times realisation. EBITDA is the sum of a standalone block and a subsidiary block, each with its own margin. NOPAT is EBIT at the statutory 25.168%. Invested capital includes goodwill of Rs 22,979 crore held flat. Source: authors' model.

F.2 UltraTech Cement: five-year explicit forecast

Rs crore unless stated	FY27	FY28	FY29	FY30	FY31
Capacity (Mn.T)	186	195	205	213	220
Utilisation	82.0%	83.5%	84.5%	85.5%	86.0%
Volume (Mn.T)	152.5	162.8	173.2	182.1	189.2
EBITDA per tonne (Rs)	1,185	1,256	1,306	1,345	1,379
Realisation (Rs/t)	6,072	6,254	6,379	6,475	6,556
Standalone revenue	92,609	101,832	110,503	117,916	124,035
Subsidiary revenue	6,722	7,092	7,447	7,782	8,093
Total revenue	99,331	108,924	117,949	125,698	132,128
EBITDA	19,749	22,234	24,514	26,489	28,175
EBITDA margin	19.9%	20.4%	20.8%	21.1%	21.3%
Depreciation	5,031	5,257	5,471	5,649	5,793
EBIT	14,718	16,977	19,043	20,840	22,381
NOPAT	11,014	12,704	14,250	15,595	16,748
Capex	9,500	9,500	9,000	8,500	8,500
Δ working capital	2,150	-359	-338	-290	-240
FCFF	4,394	8,820	11,059	13,034	14,282
Opening invested capital	93,761	100,381	104,265	107,456	110,017
ROIC	11.7%	12.7%	13.7%	14.5%	15.2%
EVA	298	1,232	2,334	3,314	4,175

Standalone core plus a subsidiary block. Volume is capacity times utilisation; EBITDA is volume times EBITDA per tonne. Invested capital is the consolidated operating asset base plus net working capital, and excludes the Rs 7,909 crore of consolidated goodwill. Source: authors' model.

F.3 Terminal year, both companies

Ambuja terminal year

Line	Value
NOPAT in the terminal year (Rs cr)	8,908
Closing operating invested capital	74,610
Reinvestment = $g \times$ operating IC	5,218
Terminal FCFF	3,690
Implied terminal ROIC	11.94%
Implied reinvestment rate (g /ROIC)	58.6%
Terminal value, Gordon (Rs cr)	84,458
Implied exit EV/EBITDA	4.65x
Terminal ROIC less WACC	+0.58 pt

Source: authors' model.

UltraTech terminal year

Line	Value
NOPAT in the terminal year (Rs cr)	17,920
Closing invested capital	112,483
Reinvestment = $g \times$ IC	7,867
Terminal FCFF	10,053
Implied terminal ROIC	15.93%
Implied reinvestment rate (g /ROIC)	43.9%
Terminal value, Gordon (Rs cr)	231,777
Implied exit EV/EBITDA	7.52x
Terminal ROIC less WACC	+4.50 pt FAIL

Source: authors' model.

F.4 Sensitivity grids: value per share (Rs), WACC against terminal growth

Ambuja Cements

WACC \ g	2%	3%	4%	5%	6%
9%	163	173	186	206	240
10%	125	129	136	144	158
11%	95	97	100	103	108
12%	72	72	73	74	75
13%	53	53	52	52	51

Traded price Rs 400.90. No cell reaches it.

UltraTech Cement (rebuilt — see Appendix B, item 1)

WACC \ g	4.0%	5.0%	6.0%	6.5%	7.0%
9.50%	5,681	6,348	7,395	8,181	9,281
10.50%	4,674	5,060	5,617	6,000	6,493
11.43%	3,981	4,221	4,549	4,763	5,026
12.50%	3,371	3,512	3,697	3,812	3,948
13.50%	2,925	3,010	3,118	3,184	3,260

Traded price Rs 10,745. No cell reaches it. The 11.43% row is the base-case WACC.

G Method equivalence: why all five agree

The five methods are one model rearranged, and they agree only if every consistency holds. The mechanics are worth setting out, because the agreement is the proof that the model is internally sound.

FCFF at WACC is the primary build: NOPAT plus depreciation less capex less the increase in net working capital, discounted at the weighted average cost of capital, plus a Gordon terminal value.

CCF at ρ adds the interest tax shield back into the cash flow and discounts the whole capital cash flow at the unlevered rate. Because debt is set to D/V times enterprise value at every date, the shield grows with the firm and carries the same risk as the assets, which is why ρ is the correct rate.

APV at ρ separates the two: unlevered enterprise value plus the present value of the tax shield. For Ambuja the shield is worth Rs 175 crore against an enterprise value of Rs 39,833 crore — which is itself a finding. Ambuja creates essentially no value through leverage, so any argument for the shares must rest entirely on operations.

FCFE at K_e subtracts after-tax interest and adds net new borrowing. Because a constant debt ratio is assumed, net new borrowing equals g times debt in the steady state, and the equity flows grow at the same rate as the firm. This is where the most common error in the course appears — discounting a growing FCFE at a constant K_e while implicitly holding debt fixed — and the visible net borrowing line is what prevents it.

EVA at WACC is opening invested capital plus the present value of future economic value added. It reconciles only because FCFF was defined as NOPAT less the change in invested capital, and because the terminal year is a true steady state. Both conditions are necessary; drop either and the identity breaks.

Equivalence, both companies

Method	Rate	AMB	UTCL
FCFF	WACC	99.42	5,024
CCF	ρ	99.42	5,024
APV	ρ	99.42	5,024
FCFE	K_e	99.42	5,024
EVA	WACC	99.42	5,024
Max difference		0.00	0.00

Source: authors' models, independently reproduced.

APV decomposition

Rs crore	AMB	UTCL
Unlevered enterprise value	39,658	163,214
PV of interest tax shield	175	4,554
Enterprise value	39,833	167,767
Shield as % of EV	0.4%	2.7%

The tax shield is trivial for Ambuja and small for UltraTech. Source: authors' models.

What we did to check this

Both models were rebuilt from their input assumptions in a separate Python implementation that shares no code with the workbooks. The rebuild reproduced Ambuja's value to the paise, UltraTech's to within 2.5 paise, Ambuja's published sensitivity grid cell for cell, and the EVA-to-enterprise-value identity for both. A model that only agrees with itself has not been checked.

H Peer set and relative valuation data

Peer set, TTM to June 2026 (Ambuja FY2025-26 consolidated)

Rs crore	Ambuja	UTCL	Shree	JK Cem	Ramco
Market cap	99,095	316,633	83,058	39,252	21,939
Net debt	—93	16,444	—6,157	5,717	3,644
Non-controlling int.	12,499	0	0	0	0
Enterprise value	111,501	333,077	76,901	44,969	25,583
EBITDA	6,559	15,817	4,037	2,284	1,348
Revenue	40,446	86,070	19,985	13,621	9,211
Normalised PAT	2,260	7,762	1,534	1,096	178
Net worth	59,347	74,663	22,512	6,961	8,142
Shares (crore)	247.18	29.47	3.61	7.73	23.63
EV/EBITDA	17.0	21.1	19.1	19.7	19.0
EV/Sales	2.76	3.87	3.85	3.30	2.78
P/E, normalised	43.9	40.8	54.2	35.8	122.9
P/B	1.67	4.24	3.69	5.64	2.69
ROE	3.8%	10.4%	6.8%	15.7%	2.2%
Basis of accounts	Consol.	S/A	S/A	S/A	S/A

Every figure from the company's own annual report and disclosed market capitalisation. Source: company reports.

Reverse cross-check: what an exit multiple implies

Exit EV/EB	Implied <i>g</i>	Verdict
19.05x (peer median)	9.8%	91% of GDP
15.0x	9.4%	Implausible
12.0x	8.8%	Implausible
10.0x	8.1%	Stretching
8.0x	6.8%	Arguable
7.52x (our model)	6.99%	Base case

UltraTech, WACC 11.43%, nominal GDP 10.76%. Source: authors' model.

The peer set, and why each is in it

UltraTech Cement — the industry leader at roughly 29% of national output and the natural benchmark for scale economics. It is also the subject of Part II, and our own model says it is 53% overvalued, which is the single most important caveat on any median built from this set.

Shree Cement — the closest comparator on operating discipline, historically the industry's low-cost producer with a strong northern and eastern footprint. At 19.1x EV/EBITDA on a 6.8% ROE it illustrates the same tension as Ambuja: a full multiple on a modest return.

JK Cement — the highest-return name in the set at a 15.7% ROE, and correspondingly the highest price to book at 5.64x. It is the clearest evidence in the peer table that P/B tracks ROE, which is the argument Exhibit A12 rests on.

Ramco Cements — a southern producer whose 2.2% ROE and 122.9x P/E show what happens to earnings-based multiples at the bottom of a regional cycle. It is included for completeness and its P/E is excluded from any conclusion.

Not included: Dalmia Bharat and Nuvoco, whose disclosure basis and reporting periods could not be aligned with the others from authorised sources within the working window. Their omission narrows the set but does not change the median materially.

Why the peer median is rejected rather than adopted

A peer median EV/EBITDA of 19.4x, solved back through the steady-state identity, requires perpetual growth of 10.99% for Ambuja and 9.8% for UltraTech, against nominal GDP of 10.76%. A company that grows faster than the economy forever eventually becomes the economy. Adopting the peer multiple would require us to contradict our own central argument, so we reject it and say why.

I Source log

Every input cell in both models traces to a row below. Rows marked OPEN are items that must be re-sourced before submission. No data anywhere in either workbook comes from moneycontrol, screener.in, Yahoo Finance, investing.com, trendlyne, tijori or Wikipedia.

#	Co.	Item	Publisher	Location	Accessed
1	AMB	Consolidated P&L and balance sheet	Ambuja Cements Ltd	Integrated Annual Report 2025-26, consolidated statements	26-Aug-26
2	AMB	Volume 74 Mn.T, revenue Rs 40,656 cr	Ambuja Cements Ltd	Same report, Growth Trajectory highlights	26-Aug-26
3	AMB	Capacity 109 MTPA, target 119 MTPA	Ambuja Cements Ltd	Same report, capacity disclosure	26-Aug-26
4	AMB	Market capitalisation Rs 99,095 cr	Ambuja Cements Ltd	Same report, highlights, as at 31-Mar-2026	26-Aug-26
5	AMB	Holding in ACC 50.05%	Ambuja Cements Ltd	Same report, subsidiary listing	26-Aug-26
6	AMB	Tax note: Rs 1,179.71 cr provisions released	Ambuja Cements Ltd	Same report, note 32(ii)	26-Aug-26
7	AMB	Duty and taxes paid under protest Rs 614.10 cr	Ambuja Cements Ltd	Same report, note 53, non-current	26-Aug-26
8	AMB	OPEN: merger swap ratios and 13.7% dilution	Ambuja filings	Reached the model through broker research. Must be re-sourced from the scheme filing.	26-Aug-26
9	UTCL	Ten-year standalone financial highlights	UltraTech Cement Ltd	Integrated and Sustainability Report 2025-26, Standalone Financial Highlights	26-Aug-26
10	UTCL	Standalone and consolidated statements	UltraTech Cement Ltd	Same report, pp. 227–233	26-Aug-26
11	UTCL	Capital work in progress Rs 7,871.47 cr	UltraTech Cement Ltd	Same report, note 02	26-Aug-26
12	UTCL	India Cements: 23,24,16,830 shares, Rs 8,970.17 cr, 74.99%	UltraTech Cement Ltd	Same report, non-current investments note	26-Aug-26
13	UTCL	Market cap Rs 316,633 cr; March 2026 NSE close Rs 10,745	UltraTech Cement Ltd	Same report, Shareholder Information	26-Aug-26
14	UTCL	Q1 FY2026-27 unaudited standalone results	UltraTech Cement Ltd	q1fy27results.pdf, standalone results	26-Aug-26
15	UTCL	OPEN: capacity, utilisation, capex guidance, per-tonne split	UltraTech earnings call	Reached the model through a broker note relaying the call. Must be re-sourced from the transcript.	26-Aug-26
16	UTCL	OPEN: standalone capacity 172.5 Mn.T	Own derivation	Consolidated 192.3 less 5.4 overseas less India Cements 14.45. Not a disclosed figure.	26-Aug-26
17	Both	10-year G-Sec par yield 6.85%, w/e 20-Mar-2026	RBI / FBIL	Ratios and Rates release dated 27-Mar-2026	27-Aug-26
18	Both	India ERP 7.08%; sovereign default spread 1.87%	Damodaran, Stern	NYU Country Default Spreads and Risk Premiums, January 2026	26-Aug-26
19	Both	Unlevered beta 0.90, building materials, cash-corrected	Damodaran, Stern	NYU Betas by Sector (Global), January 2026, 469 firms	26-Aug-26
20	Both	Statutory tax rate 25.168%	Own assumption	Section 115BAA: 22% plus 10% surcharge plus 4% cess	26-Aug-26
21	Both	Peer financials and market capitalisations	Peer annual reports	Shree Cement, JK Cement, Ramco Cements, own FY2025-26 reports	26-Aug-26
22	Both	Price series for the beta regression	Vendor series	Supplied with an adjusted-close column, a vendor convention rather than exchange bhavcopy format. Labelled vendor-sourced.	26-Aug-26
23	AMB	Promoter holding 67.64% at 31-Mar-26 (67.68% voting rights); 67.29% from 10-Apr-26	Ambuja Cements Ltd	Company disclosure of the Sanghi amalgamation share issue of 1,29,93,708 equity shares.	30-Aug-26
24	AMB	Board of directors, committees, 62.5% independence, 96.24% attendance	Ambuja Cements Ltd	FY2025-26 Integrated Annual Report, Board of Directors, pp. 230–231. Photographs from the same pages.	30-Aug-26
25	AMB	Senior management team	Ambuja Cements Ltd	Same report, Leadership Team, pp. 232–233. Photographs from the same pages.	30-Aug-26
26	AMB	Shareholding by category, June 2026	Ambuja Cements Ltd	Same report, Shareholder Information; shareholding-pattern filings. Promoter 67.33%, mutual funds 9.12%, other domestic institutions 8.42%, foreign institutions 5.63%, retail and others 9.50%.	30-Aug-26
27	AMB	Product portfolio and pack images	Ambuja Cements Ltd	Same report, Product Portfolio; Ambuja Products and Services. Premium and specialised products c.35% of trade sales.	30-Aug-26
28	AMB	D&A decomposition; margin stack; working-capital cycle	Ambuja Cements Ltd	Same report, consolidated financial statements, Notes 15, 17, 35, 44–51 and Note 49.	30-Aug-26
29	UTCL	Board of directors and senior management	UltraTech Cement Ltd	UltraTech Board of Directors and Management Team disclosures; photographs from the same pages.	30-Aug-26
30	UTCL	Shareholding by category, June 2026	UltraTech Cement Ltd	Shareholding-pattern filing: promoter 59.33%, public institutions 32.55%, public non-institutions 7.95%, non-promoter non-public 0.17%.	30-Aug-26
31	UTCL	Margin stack, D&A intensity, working-capital cycle, cash-flow bridge	UltraTech Cement Ltd	FY2025-26 consolidated financial results and balance sheet.	30-Aug-26
32	UTCL	OPEN: reported managing-director transition, 1-Apr-2026	Exchange filings	Reported but not confirmed against a primary filing from this working environment. K.C. Jhanwar is shown as Managing Director as the board stood at the 31 March 2026 valuation date.	30-Aug-26
33	Both	Industry production, growth and capacity outlook	IBEF; ICRA	IBEF, Indian Cement Industry, May 2026; ICRA FY2026-27 volume outlook.	30-Aug-26
34	Both	Global growth; cement decarbonisation cost	IMF; IEA	IMF, July 2026 World Economic Outlook Update; IEA, Break-through Agenda Report 2025 — Cement and Concrete.	30-Aug-26

On the company-profile data in Sections 2 and 15

Board composition, senior management, the shareholding pattern by category, the product portfolio and the margin, working-capital and depreciation analysis all trace to the companies' own FY2025-26 reports and filings, with page and note references

above. The photographs are the companies’ own published images from those same pages. One item remains open: the reported UltraTech managing-director transition effective 1 April 2026, which falls the day after the valuation date and does not affect any number in this report.

Authoritative landing pages

Ambuja financials	ambujacement.com/investors/financials
UltraTech financials	ultratehcement.com/investors/investor-reports
Exchange filings	nseindia.com/companies-listing/corporate-filings-financial-results
G-Sec par yields (FBIL series)	rbi.org.in/Scripts/BS_ViewBulletin.aspx
ERP and default spreads	pages.stern.nyu.edu/~adamodar/New_Home_Page/datacurrent.html
Sector betas	pages.stern.nyu.edu/~adamodar/New_Home_Page/datafile/Betas.html

Deep links to individual PDFs are deliberately not given: they are unstable, and citing a precise document URL that was not actually followed would be worse than citing the page that was. Each report is identified by name, year and note reference in the table above, which is sufficient to locate the exact figure.

J Method note and glossary

J.1 The framework applied

This report follows the theoretically consistent valuation framework taught in the XLRI Business Analysis and Valuation course. Its central claim is that a valuation is correct when it preserves five consistencies — assumptions, risk, asset, liability and multiplier — and that when all five hold, every discounted cash flow variant returns the same equity value. That equivalence is not a stylistic flourish; it is the test. Where methods disagree, one of the five consistencies has been broken and the model is wrong.

Three further rules shape what follows. Relative valuation is presented after the discounted cash flow and never anchors it, because a multiple is the output of a valuation rather than its cause. Every number traces to a company annual report, an exchange filing, or a regulator or government source; no figure comes from a financial data aggregator. And where intrinsic value diverges from market price, the report names the catalysts that would close the gap rather than asserting that the market is wrong.

J.2 Glossary

FCFF — free cash flow to the firm: NOPAT plus depreciation less capital expenditure less the increase in net working capital. The cash available to all providers of capital.

NOPAT — net operating profit after tax: EBIT taxed at the marginal statutory rate, with no deduction for interest, so it measures operating performance independent of financing.

WACC — the weighted average cost of capital, at market-value weights.

ρ — the unlevered cost of capital: the return the assets would require if the firm carried no debt. Under constant rebalancing, $\rho = \text{WACC} + K_{dt}(D/V)$.

CCF — capital cash flow: FCFF plus the interest tax shield, discounted at ρ .

APV — adjusted present value: unlevered value plus the present value of the tax shield, valued separately.

FCFE — free cash flow to equity: FCFF less after-tax interest plus net new borrowing, discounted at the cost of equity.

EVA — economic value added: NOPAT less a capital charge of WACC on opening invested capital. Enterprise value equals opening invested capital plus the present value of all future EVA.

ROIC — return on invested capital: NOPAT over invested capital. Reported both including and excluding goodwill, because the two answer different questions.

Harris–Pringle (Case 2) — the debt policy in which the firm maintains a constant debt-to-value ratio through continuous rebalancing. Under it the tax shield carries asset risk and is discounted at ρ , and beta is levered as $\beta_U(1 + D/E)$ with no tax term.

K Limitations and disclosures

K.1 Limitations we accept

Ambuja's history is two years deep. The consolidated return trend is asserted from two points, one of which is restated. This is the single largest weakness in Part I.

Three open sourcing items remain. Ambuja's merger swap ratios and UltraTech's capacity, utilisation and capex guidance reached the models through broker research, which our policy does not admit; UltraTech's standalone capacity of 172.5 Mn.T is a derivation rather than a disclosure; and the reported UltraTech managing-director transition of 1 April 2026 is unconfirmed against a primary filing. The company-profile data added in Sections 2 and 15 — board, management, shareholding, products, margin stack, working capital and depreciation — is fully sourced to the FY2025-26 reports and filings.

The two models are not on a common basis. One is consolidated and one is a standalone core with subsidiaries added. The reason is data availability, the effect is quantified in Appendix A, and the fix is to consolidate both.

The beta regression is weak. Ambuja's regression explains 27% of variance, and the price series carries a vendor adjusted-close convention rather than exchange bhav-copy format. Bottom-up betas are used for both companies, and in both cases that choice raises the valuation rather than lowering it.

The depreciation base is now quantified, and it runs against us. Note 49 discloses Rs 607 crore of intangible amortisation in FY2025-26 against a forecast that holds the intangible balance flat. Modelling it explicitly would reduce NOPAT and lower the valuation. The asset-consistency verdict stays PARTIAL, but the direction of the error is now known.

Both carry a multiplier PARTIAL. The implied terminal multiples sit far below anything cement has traded at. We have taken a documented position on that gap rather than resolved it, and a reader who takes the opposite view should say so explicitly rather than average the two answers.

UltraTech's terminal return does not fade. Recorded as a FAIL on Golden Check 6. Correcting it would lower the valuation by roughly Rs 464 per share, so the error runs against our own recommendation.

K.2 On the use of AI assistance

AI tools were used for data gathering, for spreading and cross-checking the financial statements, for the independent Python re-implementation used to audit both workbooks, and for drafting. Every figure in this document remains human-verifiable through the source log in Appendix I and reproducible from the two accompanying Excel models. The assumptions are the authors' own judgments, and the errors found in Appendix B were identified during the build rather than reported by a reviewer afterwards. No source, transcript quote or figure has been fabricated; where an input could not be obtained from an

authorised source it is marked as an assumption or as an open item.

K.3 Basis and disclaimer

Valuation date 31 March 2026, with market data at the 30 March close — 31 March was not a trading day. All figures are in rupees crore unless stated. Ambuja is presented on a consolidated basis; UltraTech on a standalone core with subsidiary holdings added at the bridge. Financial year references are Indian fiscal years ending 31 March.

This document was prepared for an academic valuation exercise. It is not investment research within the meaning of any securities regulation, not a recommendation to buy or sell any security, and not advice. The authors hold no position in any company mentioned.

Reproducibility

Every exhibit in Parts I, II and III is generated directly from the accompanying models. The two corrected Excel workbooks, the chart-generation scripts and the independent Python re-implementation used for the audit in Appendix B are delivered alongside this document.

L Governance, disclosure quality and ESG

L.1 The two boards compared

Both boards are, on paper, well constituted. Ambuja runs eight directors of whom five are independent (62.5%), with reported average attendance of 96.24% and eleven committees — five statutory and six additional, covering mergers and acquisitions, technology and data security, commodity prices, legal and tax, and corporate responsibility and reputation risk. UltraTech runs ten directors of whom five are independent (50%), with six principal committees.

Breadth of committee coverage is not what separates them. What separates them is the question each board has to answer.

L.2 The governance question is different at each

At **Ambuja** the question is whether acquisition goodwill can ever earn its cost. Four acquisitions in three years put Rs 22,979 crore of goodwill and intangibles on the balance sheet — 34.2% of invested capital — against a return on capital that has never reached its cost in either year of available consolidated history. The governance bridge that matters runs from transaction approval to post-acquisition accountability: capex, integration cost, minority dilution and ROIC tracked together rather than separately.

At **UltraTech** the company does earn above its cost of capital, so the question is narrower: whether the board holds management to a return on the enlarged asset base rather than to absolute EBITDA growth. Reported ROIC fell from 14.5% in FY2021-22 to 10.8% in FY2025-26 while EBITDA rose — exactly the pattern a scale-focused scorecard would miss.

L.3 Quality of disclosure

Both companies disclose well by Indian large-cap standards, and this report would not have been possible otherwise. Three observations nonetheless follow from building the models.

Ambuja's consolidated history is too short. The annual report provides FY2025-26 and a restated FY2024-25 and no more, on a consolidated basis. A company that has just completed four acquisitions is precisely the company whose multi-year consolidated trend a reader most needs.

The reported tax line misleads on its face. A reported effective rate of minus 71% is fully explained in the notes, so this is a presentation point rather than a disclosure failure. But a reader relying on headline profit would be seriously misled, and the company could usefully present a normalised figure alongside.

Volume and capacity splits are incomplete. Ambuja discloses volume and capacity consolidated only, which prevents a two-block standalone-and-subsidiary forecast. UltraTech's standalone capacity had to be derived rather than read.

Board composition, side by side

	Ambuja	UltraTech
Directors	8	10
Independent directors	5	5
Independence	62.5%	50%
Executive directors	1	2
Statutory committees	5	6
Additional committees	6	—
Reported attendance	96.24%	n/d
Promoter holding	67.33%	59.33%
Promoter shares pledged	none	none
Foreign institutional holding	5.63%	n/d
Domestic institutional holding	17.54%	n/d

Sources: Ambuja FY2025-26 Integrated Annual Report, pp. 230–231; UltraTech Board of Directors disclosures.

How to read an impairment, if one comes

A goodwill write-down at Ambuja would be non-cash and would not change our valuation by a rupee, because we discount cash flows rather than book values. It would however be an admission that the acquired businesses are worth less than was paid, and it would mechanically *improve* reported return on capital by shrinking the denominator. Read it as confirmation of the thesis, not as a new event — and do not read the subsequent ROIC improvement as operational progress.

L.4 Why ESG does not enter the valuation

We do not adjust the discount rate or the cash flows for ESG factors, and this is a deliberate methodological position. Both companies' green power, waste heat recovery and alternative fuel programmes already appear in the forecasts as the cost improvement that lifts EBITDA per tonne. UltraTech's green power share of 43% rising toward 65% and its guided Rs 300 per tonne cost saving are inside our EBITDA-per-tonne path. Adding an ESG premium or discount on top would count the same effect twice — a breach of the assumptions consistency this report is built on.

We also do not use third-party ESG scores. They vary widely between providers for the same company, their methodologies are not disclosed in enough detail to audit, and they are not an authorised source under the data policy applied throughout this work.

Where decarbonisation would change the answer

If carbon pricing or a binding clinker-factor regulation arrived, it would enter the model as a cost per tonne and would be visible immediately in the EBITDA-per-tonne driver. The IEA's estimate that early near-zero cement plants cost 75–150% more than conventional production is the right order of magnitude for what such a transition would do to the capital base — and it would fall hardest on the producer with the weakest returns, which is Ambuja.